Shilpa Medicare Ltd.

A Transition towards High- Value Pharma Segments

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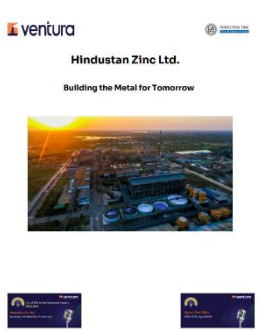

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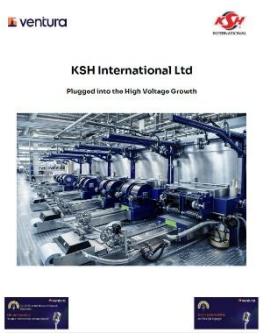

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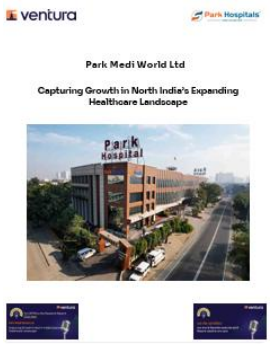

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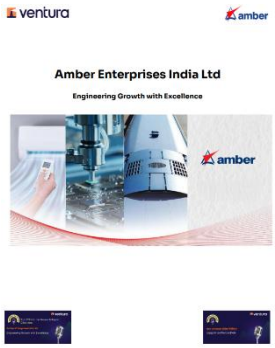

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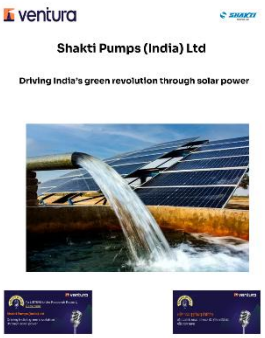

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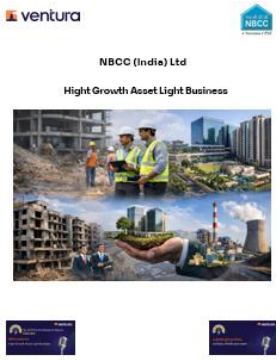

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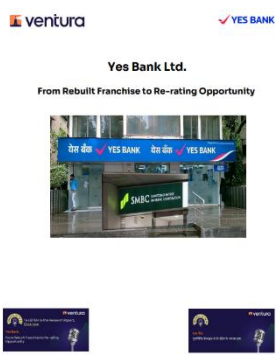

Yes Bank

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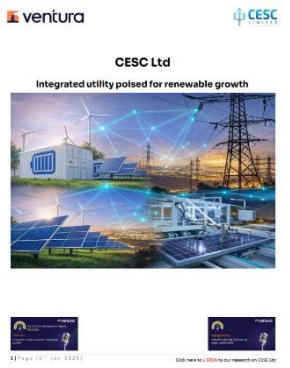

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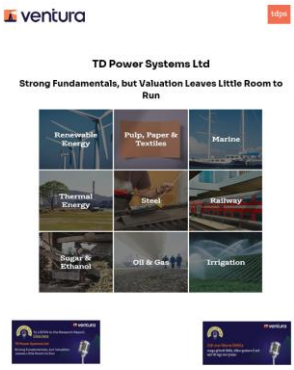
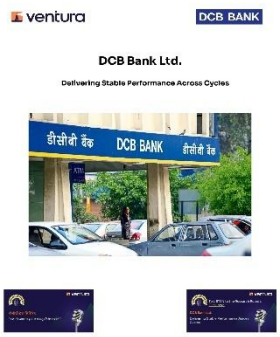
Bazaar Style Retail

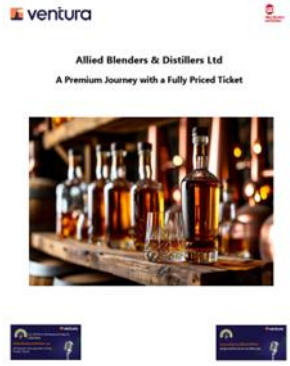


TD Power

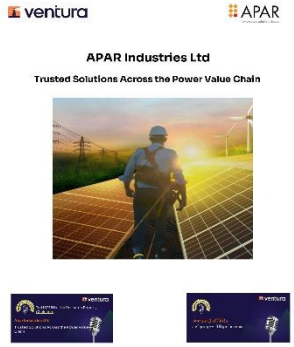


DCB Bank

Northern Arc



Allied Blenders



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BUY@CMP INR 392 | **Target: INR 511 in 24 Months** | **Upside Potential: 30%**

A Transition towards High-Value Pharma Segments

Business model: Shilpa Medicare Limited (SML) operates a vertically integrated pharmaceutical model, focusing on complex APIs, differentiated FDFs, and biologics. The company leverages a licensing and partnership-driven commercial approach to expand globally, with a strategic shift towards higher-margin biologics and capturing end-to-end margins through captive API supply for its formulations.

The global pharmaceutical outsourcing opportunity remains strong, with the API and CDMO market estimated at ~$260 bn in 2025, expected to grow to ~$350 bn by 2030, driven by China+1 outsourcing, patent expiries, and increasing demand for complex manufacturing. Within pharmaceuticals, biologics account for ~40% of global pharma sales (~$600 bn) and continue to gain share, while high-growth segments such as GLP-1 (diabetes and obesity), biosimilars, peptides, and antibody-drug conjugates (ADC) are expected to drive the next phase of industry growth. The GLP-1 market alone is expected to grow from ~$50 bn currently to over ~$200 bn over the next decade, while upcoming patent expiries of blockbuster biologics such as Keytruda, Opdivo, and Eylea create a $100 bn+ biosimilar opportunity. These trends structurally benefit companies operating in complex APIs, biologics, peptides, and CDMO, where entry barriers are high and competition is limited.

SML operates across APIs, complex formulations, biologics, peptides, and CDMO, giving it presence across the entire pharmaceutical value chain. The API segment (~60% revenue) has a strong presence in oncology and complex APIs, with a strategic shift toward captive consumption, which improves margins and integration benefits. The Formulations segment (~30%) focuses on complex products such as injectables, oral dissolving films, and transdermal patches (including Semaglutide, Rotigotine, and oral film products), which typically have limited competition and higher margins compared to plain generics. The Biologics and Peptide segment (~10%) is expected to be a key growth driver, supported by rHA, Aflibercept, and other biosimilars, while the CDMO business is expected to scale up as global companies increasingly outsource complex manufacturing.

In the last few years, the company invested significantly in biologics, peptide manufacturing, injectables, and specialty delivery platforms, which impacted return ratios in the near term due to high capex and regulatory delays. However, with most of the heavy capex now completed and regulatory approvals in place, the company is entering a commercialization and operating leverage phase. Over FY25-FY28E SML is projected to deliver steady financial growth, with revenue, EBITDA, and net profit expected to compound at 15%, 22%, and 50% CAGR, reaching INR 1,948 crore, INR 579 crore, and INR 268 crore by FY28E. Operating leverage and an improving mix are likely to lift margins to 29.7% (EBITDA) and 13.8% (net profit). Segment-level growth visibility remains supported by differentiated drivers, with FY25–28E CAGRs of 6% in API (to INR 870 crore), 15% in Formulations (to INR 719 crore), 64% in Biologics (to INR 359 crore).

Valuation call – We initiate coverage on Shilpa Medicare with a BUY rating. We recommend BUY at the CMP of INR 392, with price target of INR 511 (37X FY28 P/E), representing an upside of 30%.

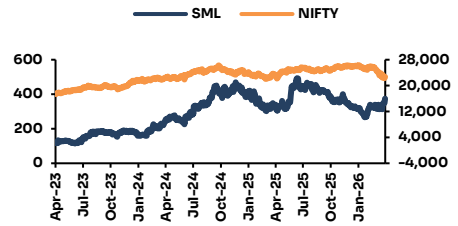
Key Risks to Upside: - Delay in key product launches like Semaglutide and biologics can delay growth
-Regulatory issues can affect exports and approvals
-Dependence on partners can delay commercialization

Industry	Pharmaceutical

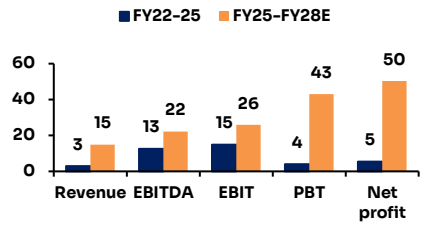
Scrip Details	
Face Value (INR)	1.00
Market Cap (INR Cr)	7,683
Price (INR)	392
No of Sh O/S (Cr)	19.6
1M Avg Vol (000)	11,96,545
52W H/L (INR)	502/260
Dividend Yield (%)	0.13

Shareholding (%)	DEC 2025
Promoter	40.13
Institution	19.34
Public	40.56
TOTAL	**100.0**

Price Chart



Financial Growth – Past vs Projection



Key consolidated financial data (INR Cr, unless specified)

	Net Revenue	EBITDA	Adj. Net Profit	EBITDA (%)	Adj Net (%)	EPS (₹)	BVPS (₹)	RoE (%)	RoIC (%)	P/E (X)	EV/EBITDA (X)
FY24	1,151.6	235.5	31.9	20.5	2.8	1.6	92.0	1.8	4.7	238.7	36.1
FY25	1,286.4	316.9	78.3	24.6	6.1	4.0	120.8	3.3	7.0	97.2	25.8
FY26E	1,476.7	426.8	170.8	28.9	11.6	8.7	129.2	6.8	9.7	44.6	19.2
FY27E	1,683.4	493.2	199.6	29.3	11.9	10.2	138.4	7.4	10.5	38.1	16.4
FY28E	1,948.3	578.7	268.4	29.7	13.8	13.7	150.7	9.1	12.7	28.3	13.6

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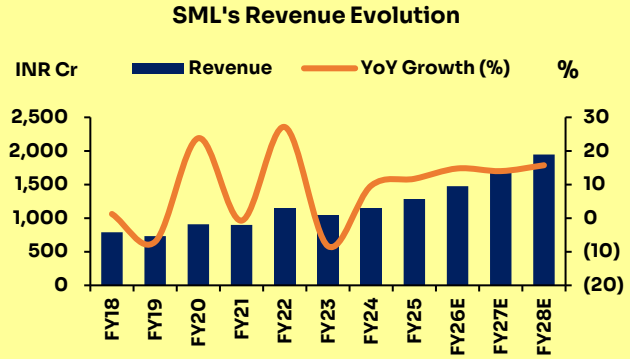
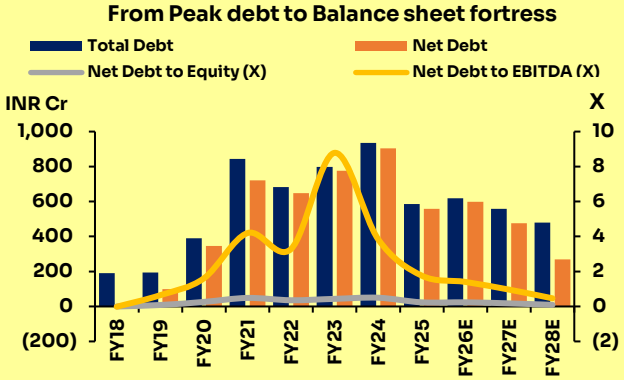
Why Invest in SML?

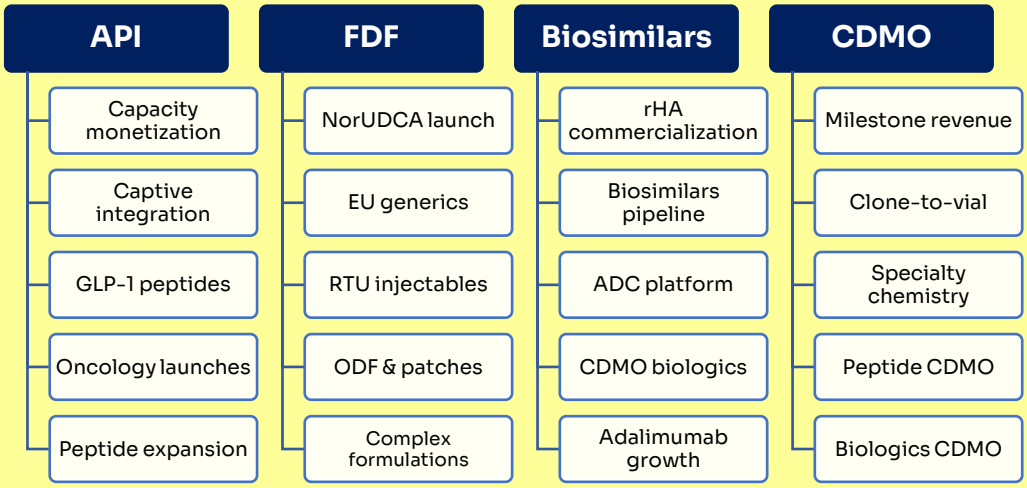
SML's journey over the past few years has been focused on navigating a challenging transition and emerging with a stronger, more scalable business model. Between FY20–FY23, the company faced regulatory setbacks, high capital investments in biologics, client concentration issues, and a stretched balance sheet, impacting profitability and return ratios. In the last two years, SML has focused on balance sheet repair through equity raising, debt reduction, licensing income, and securing regulatory approvals, stabilizing operations. With heavy capex largely completed and the balance sheet strengthened, the company is entering an operating leverage phase where revenue growth will stem from existing assets. Revenue is expected to grow at 15% CAGR from FY25–FY28E, with EBITDA margins and PAT margins reaching 29.7% and 14% by FY28E, driven by a better product mix and operating leverage. ROCE and ROE are projected to improve to 8.9% and 9.1%, while leverage levels are expected to decline. The company has moved from a phase of stress to one of growth, margin expansion, and return ratio improvement, which bodes well for the future.





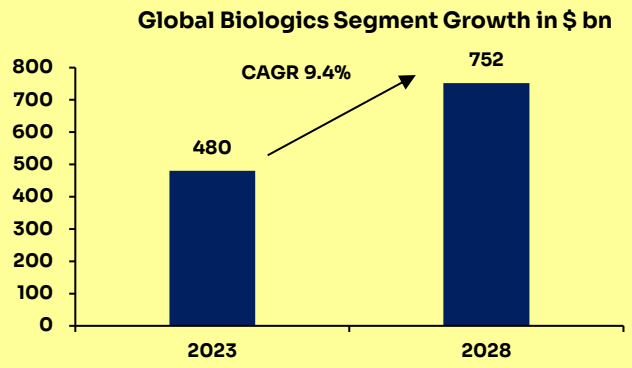
Geopolitical tensions and the ongoing conflict in the Middle East may have a limited but mixed impact on SML. In the short term, disruption in key global shipping routes and higher crude oil prices can increase freight, insurance and input costs, which may put some pressure on margins and working capital due to longer transit times and higher inventory levels. However, over the medium to long term, global pharmaceutical companies are increasingly diversifying their supply chains away from China and outsourcing more manufacturing and development work to reliable partners in India. This structural shift is positive for companies like SML, which operate in high-entry-barrier segments such as complex injectables, CDMO and biologics, and could benefit through higher outsourcing opportunities, better capacity utilization and improved margins over time.

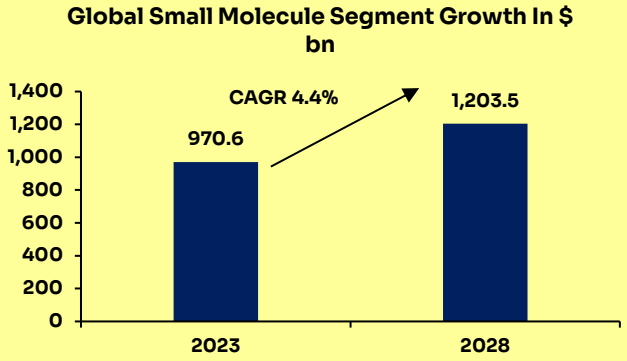
Key Growth Drivers of Each Segment



1. Biosimilars to Anchor the Next Leg of Growth

Biosimilars are biologic drugs that are highly similar to already-approved reference biologics, offering a cost-effective alternative with comparable safety and efficacy. The global biosimilars market is growing rapidly, projected to reach USD 752.1 billion by 2028, driven by patent expirations and increasing demand for affordable biologics. In India, the biosimilars market is expanding at a 20% CAGR, creating significant opportunities for companies like SML. It is strategically positioned to capitalize on this growth through its state-of-the-art R&D and manufacturing facility in Dharwad, Karnataka, which is equipped with advanced microbial fermenters (100L to 55,000L) and multi-product mammalian production suites using single-use systems (200L to 2,000L), enabling scalable production of complex biologics.





SML is strategically positioned in this high-growth sector, supported by its cutting-edge R&D and manufacturing facility in Dharwad, Karnataka. This state-of-the-art facility is equipped with advanced microbial fermenters (100L to 55,000L) and multi-product mammalian production suites using single-use systems (200L to 2,000L), enabling scalable production of complex biologics. It's ***Adalimumab** biosimilar (Oriadali®) is already gaining market share in India, growing at 25% YoY in 9M FY26, and is set to expand into 20+ RoW markets. SML's pipeline includes Aflibercept (eye drug), Nivolumab (cancer immunotherapy), and Pembrolizumab (cancer immunotherapy), with launches expected over the next 2–3 years.

High- Value Biosimilars Portfolio

	Development Completed	Pre-Clinical	Phase 1/3	Approved/ Commercial	Therapy	*Global market
Adalimumab	■	■	■	■	Immunotherapy	~USD 27 bn
Aflibercept	■	■	■		Ophthalmology	~USD 6 bn
Nivolumab	■	■			Oncology	~USD 12 bn
Pembrolizumab	■	■			Oncology	~USD 35 bn
Daratumumab	■				Oncology	~USD 15 bn
Dupilumab	■				Respiratory	~USD 25 bn
SBPL 1 (ADC)	■				Oncology	~USD 3 bn

SML also offers integrated CDMO services for monoclonal antibodies and biologics, with five active programs and two entering Phase I studies in FY27.Strategic partnerships, like with Orion Corporation for rHA distribution in Europe, will boost revenue through high-margin licensing. With a strong pipeline and expanding global reach, SML is well-positioned for sustainable growth and value creation in the biosimilars market.

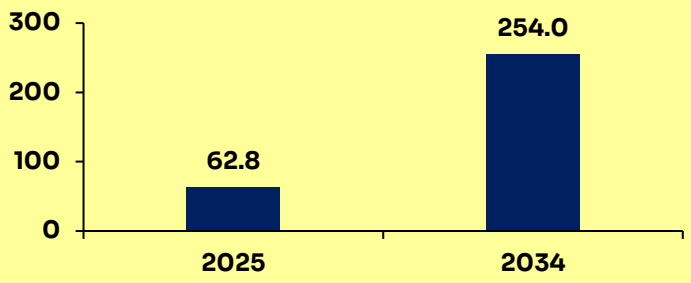
2. Unlocking Value in the GLP-1 Market

SML is strategically developing a portfolio of GLP-1 receptor agonists, focusing on Semaglutide and Liraglutide as their patents near expiration. These blockbuster molecules, used for treating Type 2 diabetes and chronic weight management, are set to capture substantial market share with increasing demand for affordable alternatives. The global market potential is significant, with SML estimating a USD 1.8 billion opportunity if 100 million patients are added globally at USD 90 per gram. However, pricing is currently volatile, ranging from USD 40 to USD 90 per gram, and is expected to stabilize as more competitors enter the market.

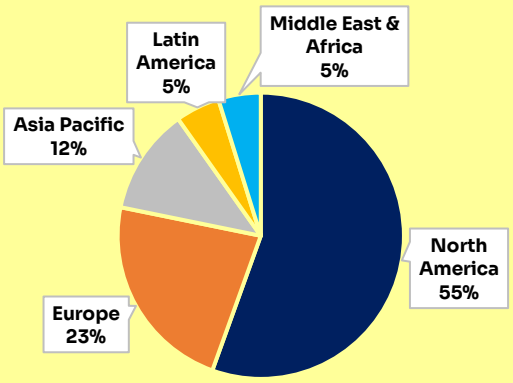
SML is in an advanced development phase, with the US DMF for Liraglutide filed, and Semaglutide in the validation phase, with scale-up batches due by Q4 FY26/Q1 FY27. Both injectable and oral solid formulations of Semaglutide are developed, with DMF filing expected by H1 FY27. To support future growth, SML is investing INR 40 crores in a large-scale peptide manufacturing facility.

Despite intense competition, SML's vertical integration—manufacturing both APIs and formulations—along with dual delivery formats, gives it a competitive edge. Focused on Rest of World (RoW) markets, SML is well-positioned to capitalize on the growing GLP-1 market, leveraging its cost-effective production and innovative product offerings to capture significant market share.

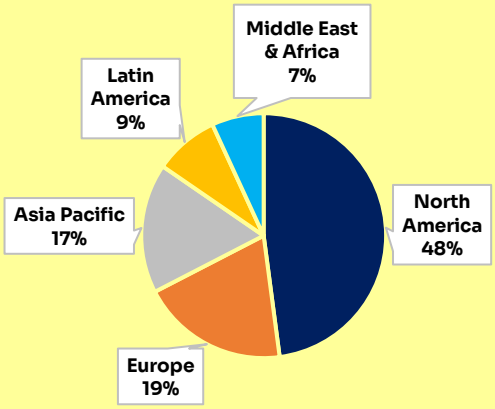
Global GLP-1 Receptor Agonist Market (In $ Bn)



Current GLP-1 Share by region (%)



Projected GLP-1 Market Share by Region in 2034 (%)



How SML Stands Out in the Semaglutide Opportunity

- **Backward Integrated Model:** SML is developing both peptide API and formulations (injectable and oral), which provides better margin control compared to formulation-only players who depend on third-party API suppliers.
- **Presence in a High-Entry-Barrier Segment:** Semaglutide is a complex peptide, and only a limited number of companies in India have peptide manufacturing capabilities, placing SML in a niche segment with relatively lower competition.
- **Cost Leadership Strategy:** The company is investing in large-scale, automated peptide manufacturing to reduce cost per gram, which is critical in a market that is expected to become highly price competitive post patent expiry.
- **Multiple Revenue Streams:** Apart from selling its own formulations, SML can also supply peptide API and undertake CDMO manufacturing for other companies, allowing participation across the value chain rather than relying on a single product.
- **Platform Opportunity:** Investment in peptide manufacturing is not limited to Semaglutide alone but can also be leveraged for other high-demand GLP-1 drugs, oncology peptides, immunotherapies, and drug-device combinations like transdermal patches, enabling long-term asset utilization and enhanced return ratios.

3. Diversified Launch Pipeline Supports Multi-Year Earnings Growth

SML has a strong pipeline of specialty products, biosimilars, peptides, and biologics, with multiple launches planned over the next few years, providing clear revenue visibility. In specialty, Rotigotine Patch is expected to be launched in Europe in 1HFY27, while Ondansetron ER Injection is expected to be commercialized in H1FY27. In biosimilars, Adalimumab is already gaining traction and Aflibercept is targeted for launch in FY27, while other biosimilars are progressing toward clinical stages.

In peptides, the company is developing Semaglutide and Liraglutide, with Liraglutide US DMF already filed and Semaglutide filing expected by FY27, supported by a new peptide facility expected in H2FY27. In biologics, Recombinant Human Albumin (rHA) has completed Phase I trials and is moving into Phase III trials, with commercialization expected over the next few years. The company also has late-stage CDMO programs, including Oxylanthanum Carbonate (OLC), which has a US FDA decision expected in June 2026.

Overall, the company's diversified launch pipeline across specialty, biosimilars, peptides, biologics, and CDMO provides strong revenue visibility over the next 2–4 years, which is a key positive from an investment perspective.

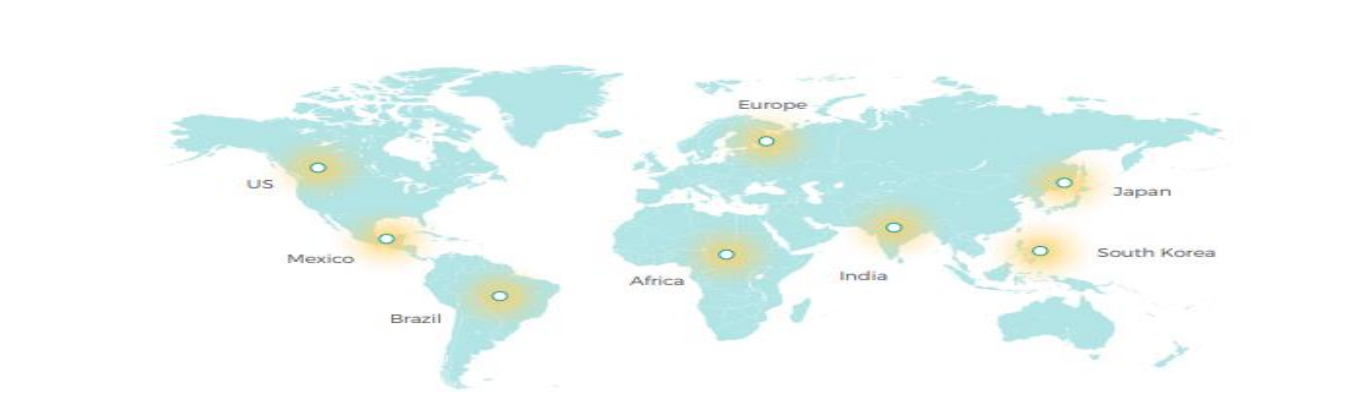
Upcoming Product Launch Pipeline

Segment	Product	Market	Timeline	Market Size	Peers
Formulation	NorUDCA	Global	FY27	$42.34 bn by 2031	**None** (SML first approved India)
Formulation	Rotigotine	Europe	FY27	$1 bn by 2035	**Neuland Labs** (API), **Mylan/Viatris** (FDF)
Formulation	Ondansetron	India	FY27	$2.98 bn by 2034	**Sun Pharma, Dr. Reddy's, Alkem Labs**
CDMO	OLC	US	FY27	$2.98 bn by 2034	Sun Pharma, Dr. Reddy's, Cipla
Biologics	Aflibercept	India	FY27	$13 Bn by 2032	**Zydus Lifesciences** (Anyra™ launched)
Biologics	rHA	India	FY28	$9.94 bn by 2032	**None** (SML first Phase 1 India)
Biologics	Nivolumab	Global	FY28	$3.63 bn by 2030	**Zydus Lifesciences** (Tishtha launched)
Biologics	Pembrolizumab	Global	FY28	$59 bn by 2032	**Dr. Reddy's** (Alvotech collab)
Biologics	ADC	Global	Post-FY27	$47 bn by early 2030s	**Biocon** (oncology ADCs pipeline)
API	Semaglutide	Global	Post-FY27	$234 bn by 2034	**Zydus, Dr. Reddy's, Laurus Labs** (API/FDF dev.)

4. Asset-Light Global Expansion Through Strategic Partnerships

Shilpa Medicare's global strategy is built on a partnership-led commercialization model, allowing the company to focus on complex product development, manufacturing, and regulatory filings, while partners handle front-end commercialization and distribution in their respective markets. This approach enables SML to enter regulated markets such as the US and Europe and multiple emerging markets without building a large on-ground sales infrastructure, thereby keeping the business capital efficient and improving return on capital employed over time.

Geographical Presence of SML



The partnership model also reduces commercialization risk, as SML typically collaborates with established pharmaceutical companies that already have strong distribution networks, regulatory expertise, and market access. This significantly improves the probability of successful product launches, faster market penetration, and better scale-up once approvals are received. At the same time, the company benefits through milestone income, licensing revenue, and long-term manufacturing contracts, creating multiple revenue streams beyond just product sales.

Key Strategic Partnerships of SML

Segment	Partner	Why This Partnership is Important
Biologics	Orion Corporation	Exclusive EU commercialization partner **for Recombinant Human Albumin (rHA)** – milestone payments + high-margin licensing income
Biologics	Sun Pharma	Commercial partner for **Adalimumab biosimilar** launch in India – helps rapid market penetration
Biologics	Cipla	Partner for **Aflibercept biosimilar** commercialization in India
CDMO	Unicycive Therapeutics (USA)	Exclusive manufacturing partner for **Oxylanthanum Carbonate (OLC)** from Phase III to commercialization
CDMO	Global Big Pharma Clients	Over **25 CDMO programs including 10+ Big Pharma companies** – long-term contract manufacturing opportunity
Formulations (US)	Amneal Pharmaceuticals	US commercialization partner for Ready-to-Use oncology injectables **(Pemetrexed, Bortezomib)**
Formulations (EU)	Accord Healthcare	European partners for **Nilotinib,** where SML was the first generic entrant in EU
Formulations (India)	3 Large Domestic Pharma Companies	Marketing partners for **NorUDCA (Noduca™)** in India

This strategy becomes particularly important as SML expands into biologics, specialty formulations, peptides, and CDMO, where commercialization requires specialized marketing capabilities, regulatory understanding, and physician reach, which partners already possess. As a result, SML can operate as a global specialty pharma and biologics company with a relatively lean front-end structure, which structurally supports margin expansion, scalability, and lower business risk over the long term.

6. Strategic CDMO Expansion to Drive Next Phase of Growth

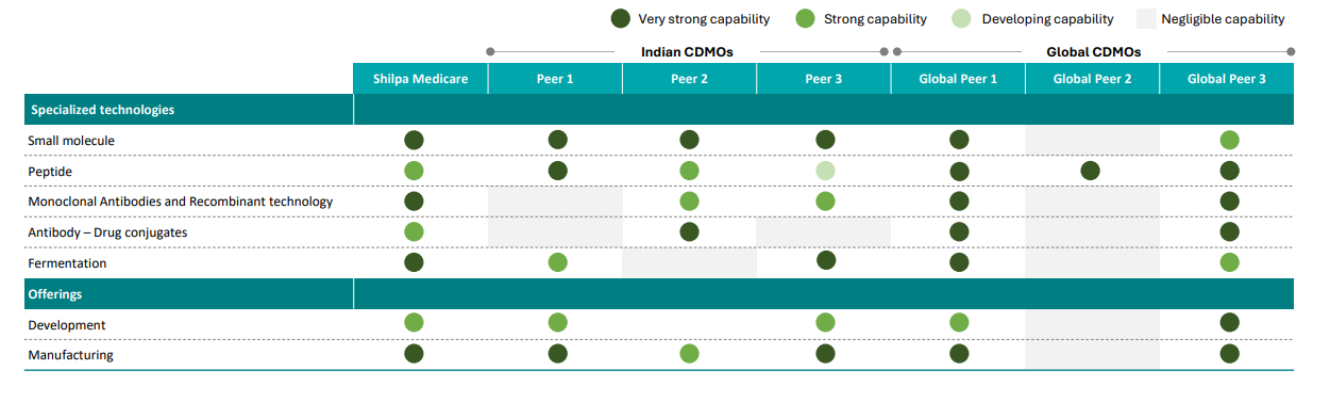
The CDMO segment is emerging as a key growth driver for Shilpa Medicare as the company moves from a heavy capex phase to an execution and asset monetization phase. The company has positioned itself as an integrated "one-stop solution" partner for global pharma and biotech companies, offering end-to-end capabilities across both small molecules and large molecules, including peptides, biologics, monoclonal antibodies, and antibody-drug conjugates. This places the company in high-value, niche segments where competition is limited, customer stickiness is high, and margins are structurally better than the traditional generics business.

End-to-End CDMO Capabilities Across Complex Modalities

Shilpa is currently working on over 25 CDMO programs, including molecules in advanced clinical stages, and continues to add new CDMO customers, including global biotech and large pharmaceutical companies. A key near-term trigger is the commercialization of Oxylanthanum Carbonate (OLC), where the partner has a US FDA decision expected in June 2026 and Shilpa has an exclusive long-term supply agreement. As molecules move from clinical trials to commercialization, CDMO revenues typically scale significantly due to long-term supply contracts.

The company's presence across multiple advanced technology platforms and its integrated development and manufacturing capabilities differentiate it from many Indian CDMO players that are primarily focused on small molecules. This capability expansion also allows Shilpa to participate in high-growth areas such as biologics, peptides, and ADCs, which are expected to drive the next phase of growth in the global CDMO industry. As a result, the CDMO segment not only provides revenue visibility but also supports margin expansion and better asset utilization, making it a key driver of the company's long-term growth.

Covering full spectrum of CDMO technologies



Very strong capability | Strong capability | Developing capability | Negligible capability

	Indian CDMOs				Global CDMOs		
	Shilpa Medicare	Peer 1	Peer 2	Peer 3	Global Peer 1	Global Peer 2	Global Peer 3
Specialized technologies							
Small molecule	Very strong	Very strong	Very strong	Very strong	Very strong		Strong
Peptide	Strong	Very strong	Strong	Developing	Very strong	Very strong	Very strong
Monoclonal Antibodies and Recombinant technology	Very strong		Strong	Strong	Very strong		Very strong
Antibody – Drug conjugates	Strong		Very strong		Very strong		Very strong
Fermentation	Very strong	Strong		Very strong	Very strong		Strong
Offerings							
Development	Strong	Strong		Strong	Strong		Very strong
Manufacturing	Very strong	Very strong	Strong	Very strong	Very strong		Very strong

Peer Comparison of Financial and Operational Metrics

Company	Business Model	Competitive moat	DMF Filings	R&D as a % Revenue	Patents Filed	Geographical Presence	Profitability	Return Ratios	Leverage	Future Outlook
SML	API, FDF, Biologics, CDMO	RTU injectables; niche ODF/Patches; proprietary rHA technology	273 DMF filings	4.7	585 cumulative patents filed	India, US, EU (Nilotinib launch), ROW	**Revenue**: INR 1,286.4 Cr, **CAGR (FY22-25)**: 3.0%, **EBITDA/M**: INR 316.9 Cr (24.6%), **PAT/M**: INR 78.3 Cr (6.2%)	**RoE:** 3.3%, **ROCE**: 8.4%	**Net Debt/EBITDA**: 1.6x, (Improved from 5.8x)	Inflection point of asset monetization; **Biologics** projected to reach 35-40% revenue mix by FY30; launch of **NorUDCA** globally to drive hyper-growth.
Natco Pharma	Pharma (FDF/API), Agrochemicals	Niche/complex molecules focus; low competition markets; vertical integration	-	7.8	325 Int'l & 289 Indian filed	India, US, Canada (Top 10), Brazil	**Revenue**: INR 4,784 Cr, **CAGR (FY22-25)**: 32.7%, **EBITDA/M**: INR 2,550.5 Cr (53.3%), **PAT/M**: INR 1,883.4 Cr (39.4%)	**RoE**: 24.7%, **ROCE**: 30.1%	**Net Cash**: Positive, Cash: INR 3,075 Cr	High-value niche generic launches (**Semaglutide**, Risdiplam); **Crop Health segment** break-even; aggressive inorganic expansion strategy globally
Gland Pharma	Injectables B2B (Generic, IP-led, CDMO) & India B2C	"Clone-to-Vial" complex injectables focus; resilient B2B partner mode	371 ANDAs (318 approved)	4.7	1,748 Product Registrations globally	US (49% Revenue), Europe, ROW, India	**Revenue**: INR 5,616.5 Cr, **CAGR (FY22-25)**: 8.5%, **EBITDA/M**: INR 1,268.9 Cr (23%), **PAT/M**: INR 698.5 Cr (12%)	**RoE**: 12%, **ROCE**: 9%	**Net Debt/Equity**: 0.03x, Net Cash Positive	Shift toward **complex injectables** and biosimilars CDMO; integration of Cenexi to unlock the European market and controlled substance capabilities
Laurus Labs	API, FDF, Custom Synthesis (CDMO), Bio	Leadership in ARV APIs; multi-year crop science & animal health deals	91 DMFs filed	4.6	>110 Active pipeline projects	India (Vizag/ Hyd/ Blr), Global sales	**Revenue**: INR 5,554 Cr, **CAGR (FY22-25)**: 4.0%, **EBITDA/M**: INR 1,055.3 Cr (19%), **PAT/M**: INR 356.7 Cr (6.4%)	**RoE**: 7.2%, **ROCE**: 6.7%	**Net Debt/EBITDA**: 2.3x, **Net Debt/Equity**: 0.5x	Strong growth resumption from FY26; deepening **CMS (CDMO)** pipeline with multiple products moving into commercial manufacturing phases
Zydus Lifescinces	Pharma (NCE, Bio, Gen.), Consumer Wellness	1st Indian Co. with patented NCE (Lipaglyn); top-tier US prescriptions share	-	8.0	-	US, India, EM, Europe (81 countries)	**Revenue**: INR 23,241.5 Cr, **CAGR (FY22-25):** 15.0%, **EBITDA/M**: INR 7,058.5 Cr (30.4%), **PAT/M**: INR 4,745.1 Cr (20.4%)	**RoE**: 21.7%, **ROCE**: 24.7%	**Net Debt/Equity**: 0.39x, Low net debt	Pivot to **Innovation & Specialty** (US Rare Disease/Orphan); commercializing patented NCE **Lipaglyn**; ~$30bn global biosimilar pipeline opportunity
Neuland Labs	API (GDS), CMS (CDMO)	Pure-play API focus; niche chemical process expertise; PID cost cutting	988 filings worldwide	4.1	204+ patents filed	80+ countries	**Revenue**: INR 1,497.3 Cr, **CAGR (FY22-25)**: 16.2%, **EBITDA/M**: INR 342.8 Cr (22.9%), **PAT/M**: INR 259.4 Cr (17.3%)	**RoE**: 17.1%, **ROCE**: 17.9%	**Net Debt/Equity**: -0.18x, Net Cash Positive	Strong growth resumption from FY26; deepening **CMS (CDMO)** pipeline with multiple products moving into commercial manufacturing phases
Aarti Pharamlabs	API, Intermediates, CDMO, Xanthine Derivatives	Largest Indian Xanthine mfg; fully backward integrated; non-China dependent	60 APIs commercialized	3.8	362 Process Patents filed	India (Gujarat/ Maharashtra), Global	**Revenue**: INR 2,115 Cr,**CAGR (FY22-25)**: **EBITDA/M**: INR 464 Cr (22%),**PAT/M**: INR 272 Cr (13%)	**RoE**: -15.5%, **ROCE**: 16.2%	**Net Debt/Equity**: 0.19x, Low net debt	Management targets 30-40% Revenueenue growth in CDMO; focus on Xanthine monetization and backward integration at the Atali site to drive cost leadership
Piramal pharma	PPS (CDMO), PCC (Hospital Gen.), PCH (Consumer)	High barriers in anesthesia; integrated ADC platform; power brands in OTC	-	5.4	Pipeline of specialty products	North America, Europe, India, Japan	**Revenue**: INR 9,151.2 Cr, **CAGR (FY22-25):** 11.7%, **EBITDA/M**: ~13-14% (Est.), PAT/M: INR 341 Cr (3.7%)	**RoE**: 9.8%, **ROCE**: ~8%	**Net Debt/Equity**: 0.16x	**"Vision 2030"** goal of US$ 2+ Bn revenue with 25% EBITDA margins; leadership in **Antibody-Drug Conjugates (ADC)** and Biologics CDMO

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Pecking Order of Peer Companies

Company	Comments
Natco Pharma	**Q3FY26 Performance:** Natco reported consolidated revenue of INR 705.4 cr (+8% YoY). EBITDA stood at INR 216.8 cr with an EBITDA margin of 30.7%. PAT for the quarter was INR 151.3 cr. Growth was driven by Export Formulations (INR 421.4 cr) and Domestic Formulations (INR 119.8 cr). A key highlight was the strategic acquisition of a 35.75% stake in Adcock Ingram, South Africa. **Management Outlook:** The company recently launched **Risdiplam** for Spinal Muscular Atrophy in India. Management continues to focus on high-value niche generic launches and expanding its international footprint through both organic growth and strategic global acquisitions.
Gland Pharma	**Q3FY26 Performance:** Gland delivered robust results with consolidated revenue of INR 1,695.4 cr (+22% YoY, +14% QoQ). Adjusted EBITDA reached INR 449.0 cr (+25% YoY, +34% QoQ) with a margin of 26%. Adjusted PAT stood at INR 279.7 cr (+37% YoY, +52% QoQ) with a 16% margin. Growth was broad-based, led by the US market (+19% YoY) and Europe (+54% YoY), while India surged 32% YoY. **Management Outlook:** The company is ready for the U.S. launch of Liraglutide (GLP-1) in Q4FY26. Management reaffirmed its confidence in a 15% CAGR over the next 5 years. A continued turnaround at Cenexi (which met its EUR 50mn quarterly sales target) is expected to drive margin expansion and improved ROCE in the mid-term.
Laurus Labs	**Q3FY26 Performance**: Laurus achieved strong momentum with revenue of INR 1,778 cr (+26% YoY, +23% QoQ). EBITDA surged to INR 485 cr (+70% YoY), with margins expanding 720 bps YoY to 27.3%. Net Profit grew 174% YoY to INR 252 cr. Performance was anchored by robust Generics (API and FDF) growth and sustained CDMO traction, despite muted growth in some segments due to campaign timing. **Management Outlook:** Management is advancing commercial peptide manufacturing to meet future customer needs and continues large-scale capacity expansions. The company maintains a pipeline of >110 active projects, with return ratios expected to "spurt" over the FY25–28 period as the product mix improves
Zydus Lifesciences	**3FY26 Performance:** Zydus reported total revenue of INR 6,864.5 cr (+30% YoY). EBITDA grew 31% YoY to INR 1,816.4 cr with a healthy margin of 26.5%. Adjusted Net Profit stood at INR 1,110.9 cr (+9% YoY). A standout performer was the Consumer Wellness segment, which surged 113.4% YoY to INR 957.8 cr, aided by the consolidation of the CCL acquisition. **Management Outlook:** The company is pivoting toward U.S. Specialty (Rare Disease), highlighted by the recent FDA approval of Zycubo [Previous Conversation/Context]. Management continues to invest heavily in R&D (8.8% of revenue) to build a global pipeline of biosimilars and NCEs.
Neuland Laboratories	**Q3FY26 Performance:** Total income stood at INR 447.8 cr (+11.4% YoY, -13.2% QoQ). EBITDA was INR 85 cr (-6% YoY, -45.8% QoQ), with margins contracting to 19.0% due to increased overheads and labor code impacts. PAT declined 60% YoY to INR 40.4 cr. While the Specialty segment led GDS, the CMS (CDMO) segment faced quarter-on-quarter volatility. **Management Outlook:** Management describes FY26 as a year of growth and consolidation, expecting a resumption of strong growth from FY26 onwards. To support future scale, the Board approved moving R&D to a new 140k sq. ft. facility at Genome Valley. The growth trajectory is viewed as "preordained" based on the existing product grid.
Aarti Pharmalabs	**Q3FY26 Performance:** Aarti Pharmalabs reported revenue of INR 425 cr, down 9.8% YoY. EBITDA stood at INR 103 cr (-10.4% YoY) with a margin of 24.2%. PAT declined 40.5% YoY to INR 44 cr, with a 10.4% PAT margin. Performance was impacted by INR 49 cr of goods in transit and delays in Atali plant scale-up. Xanthine Derivatives contributed 49% of turnover, followed by API (39%) and CDMO (12%). **Management Outlook:** Full-year FY26 EBITDA is expected to be marginally higher, with Q4FY26 showing growth as deferred CDMO shipments and Atali plant issues stabilize. The company is focusing on the oncology pipeline, with launches like Apixaban in 2026. Future growth will be supported by a capex of INR 400-450 cr for expansion and R&D, with Xanthine expansion aimed at a top 3 global position by March 2026.
Piramal Pharma	**Q3FY26 Performance:** Revenue reported at INR 2,140 cr (-3% YoY, +5% QoQ). EBITDA stood at INR 239 cr (-32% YoY) with a margin of 11%. The quarter saw a Net Loss of INR 136 cr (after exceptional items). Performance was severely impacted by inventory destocking of a large on-patent commercial product and slower early-stage order inflows in the CDMO segment. **Management Outlook:** Management reaffirmed its "Vision 2030" to reach US$ 2+ Billion revenue with a 25% EBITDA margin. Despite near-term headwinds, they expect a "catch-up" in the remaining years of the LRP (Long-Range Plan) driven by cost optimization and a strong pipeline in Antibody-Drug Conjugates (ADCs).

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Valuation of SML

We have valued SML using DCF methodology, assuming 11.4% WACC. This has given us a FY28 price target of INR 511 per share, representing an upside of 30% from the CMP.

SML's DCF valuation

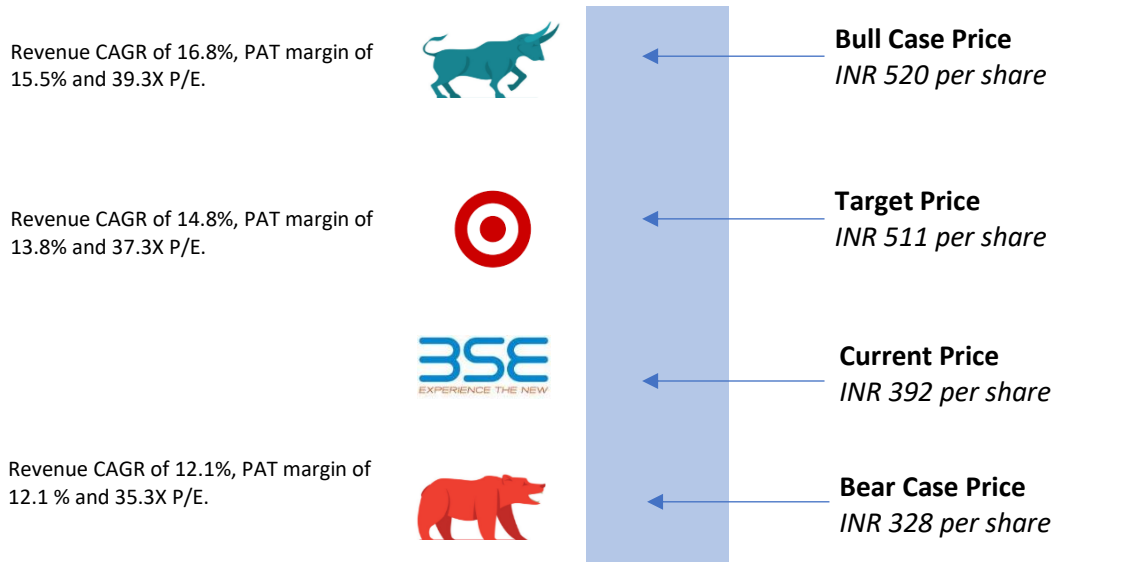
Fig in INR Cr (unless specified)	FY25	FY26E	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E
Revenue	1,286.4	1,476.7	1,683.4	1,948.3	2,281.4	2,691.0	3,169.6	3,706.7	4,351.1	5,129.6	6,076.8
EBITDA	316.9	426.8	493.2	578.7	686.7	820.8	979.4	1,160.2	1,379.3	1,646.6	1,975.0
EBITDA Margin (%)	24.6	28.9	29.3	29.7	30.1	30.5	30.9	31.3	31.7	32.1	32.5
Net Profit	79.5	172.2	201.2	270.3	349.9	449.3	567.9	709.3	879.9	1,077.6	1,320.7
Net Margin (%)	6.2	11.7	12.0	13.9	15.3	16.7	17.9	19.1	20.2	21.0	21.7
Cash Flow from Operations	132.2	351.3	425.4	502.7	527.4	551.8	650.1	766.7	899.8	1,062.3	1,260.7
CFO to EBITDA (%)	41.7	82.3	86.3	86.9	76.8	67.2	66.4	66.1	65.2	64.5	63.8
FCFF	-82.5	116.5	208.6	293.2	324.6	354.9	468.4	599.7	736.3	901.0	1,100.0
FCFF to EBITDA (%)	-26.0	27.3	42.3	50.7	47.3	43.2	47.8	51.7	53.4	54.7	55.7
Discounted FCFF				293.2	291.4	285.9	338.8	389.3	429.1	471.3	516.5
Terminal Value				15,447.0							
Total of Discounted FCFF FY28				3,015.4							
FY28 Present Value of Terminal Value				7,252.6							
FY28 Value of Operations				10,267.9							
FY28 Net Debt				269.2							
FY28 Value of Equity				9,998.7							
FY28 Value of Equity per share				511.2							
CMP				392.0							
Upside Potential (%)				30%							

Our Bull and Bear Case Scenarios

We have prepared our Bull and Bear case scenarios based on revenue growth, PAT margin and P/E multiples:

- **Bull Case:** We have assumed a revenue CAGR of 16.8% and a PAT margin of 15.5% at the best-case P/E valuation of 39.3X. This will result in a price target of INR 520 an upside of 33.7 % from CMP.
- **Bear Case:** We have assumed a revenue CAGR of 12.8% and a PAT margin of 12.1% at the lowest P/E valuation of 35.3X. This will result in a price target of INR 328, a downside of 15.6% from CMP.

Bull & Bear Case Scenario



Source: BSE & Ventura Research

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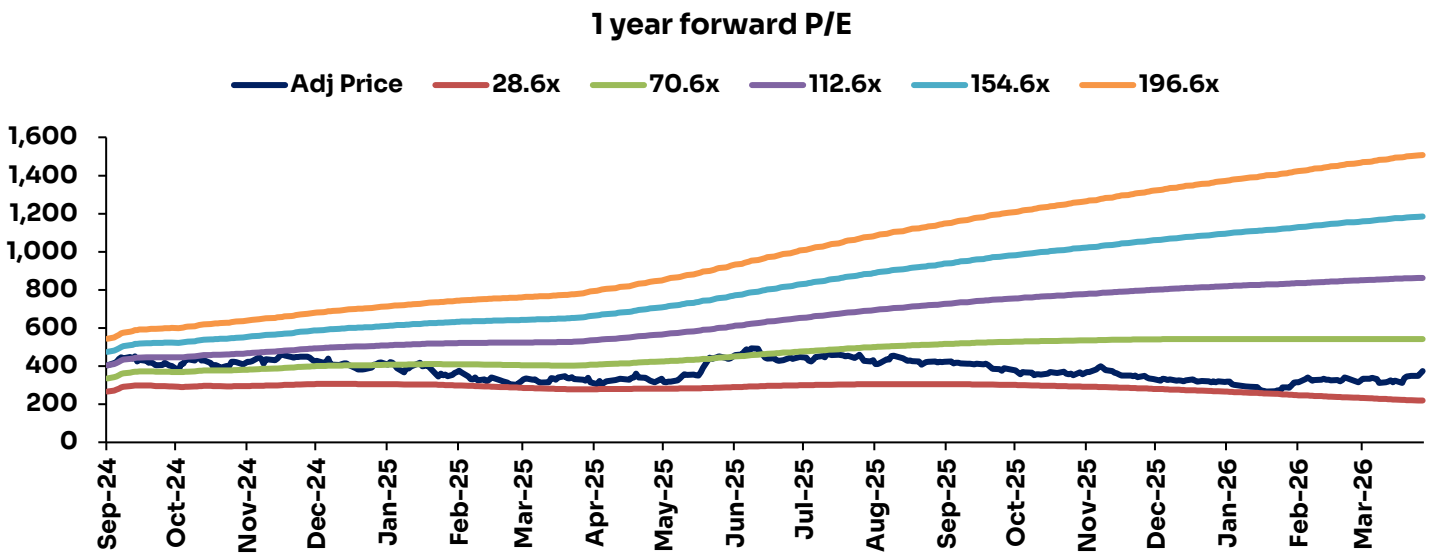
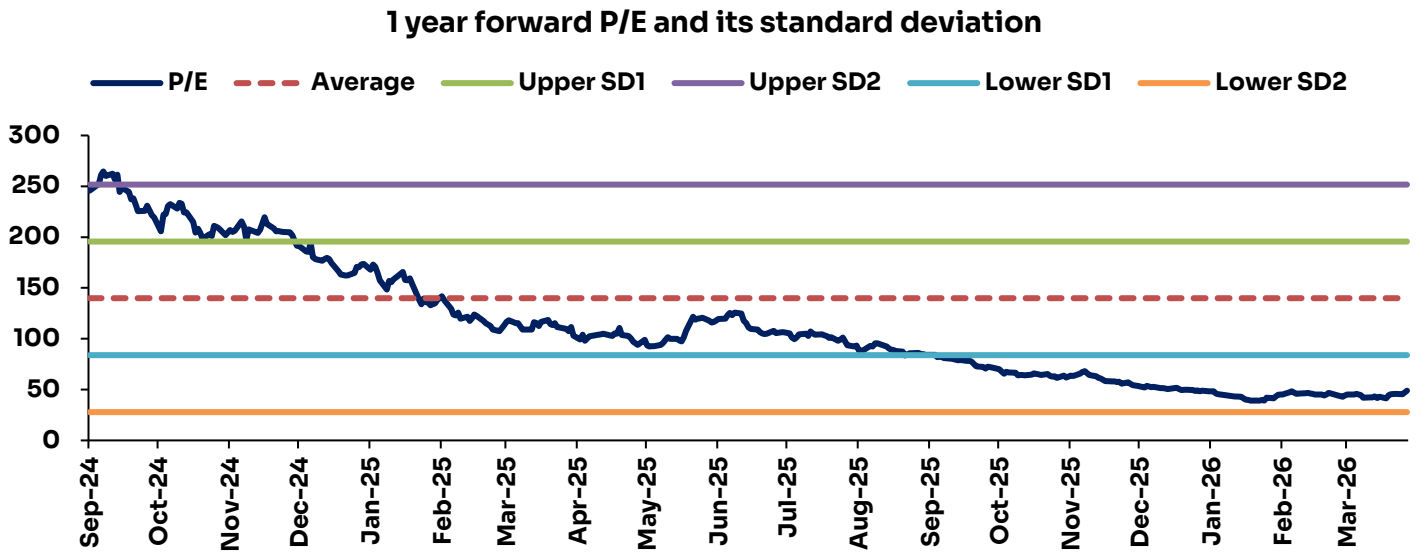
Consensus vs Ventura Estimates

Consensus vs Ventura Estimates	FY25	FY26E	FY27E	FY28E	FY25-28E CAGR (%)
Revenue (INR cr)					
Consensus	1,286.4	1,468.4	1,705.4	1,897.8	*13.8*
YoY Growth (%)	*12.3*	*14.1*	*16.1*	*11.3*	
Ventura Estimates	1,286.4	1,476.7	1,683.4	1,948.3	*14.8*
YoY Growth (%)	*12.3*	*14.8*	*14.0*	*15.7*	
EBITDA (INR cr) & EBITDA margin (%)					
Consensus	316.9	475.4	601.1	653.0	*27.2*
Consensus Margin (%)	*24.6*	*32.4*	*35.2*	*34.4*	
Ventura Estimates	316.9	426.8	493.2	578.7	*22.2*
Ventura Margin (%)	*24.6*	*28.9*	*29.3*	*29.7*	
Net Profit (INR cr) & Net margin (%)					
Consensus	79.5	218.0	307.4	340.1	*62.3*
Consensus Margin (%)	*6.2*	*14.8*	*18.0*	*17.9*	
Ventura Estimates	79.5	170.8	199.6	268.4	*50.0*
Ventura Margin (%)	*6.2*	*11.6*	*11.9*	*13.8*	
Multiple					
EV/EBITDA (X)					
Consensus	22.1	16.6	13.1	12.1	
Ventura Estimates	22.1	19.2	16.4	13.6	

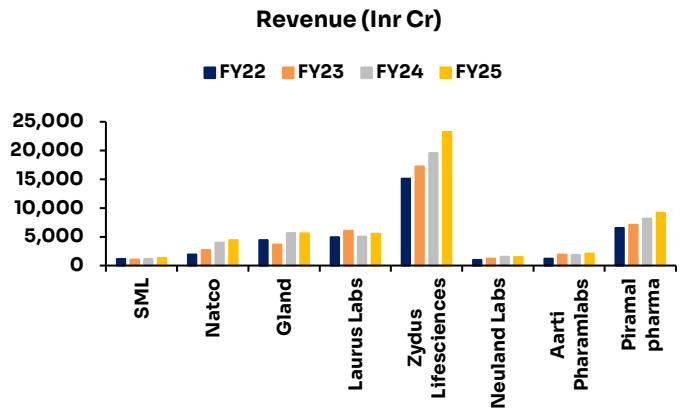
Strong growth outlook, improving profitability and healthy balance sheet could re-rate the valuation

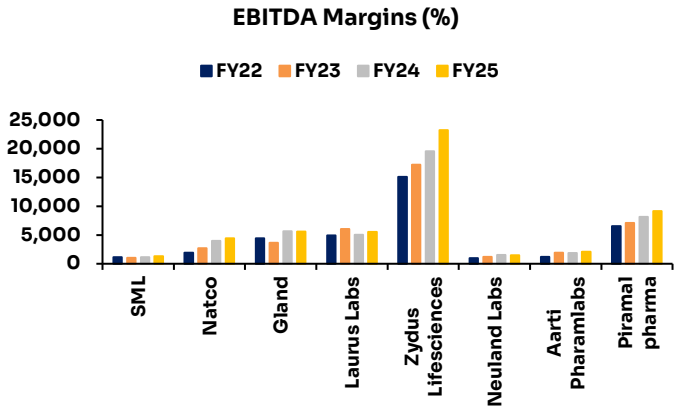


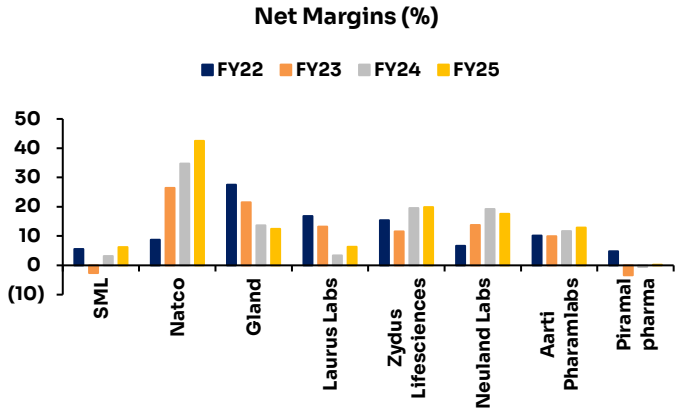


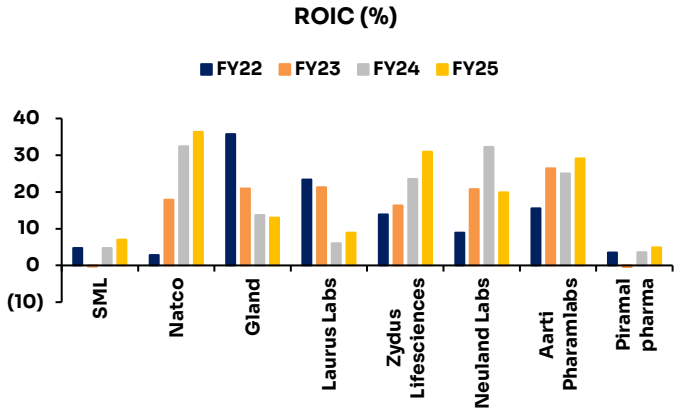
Source: Ventura Research

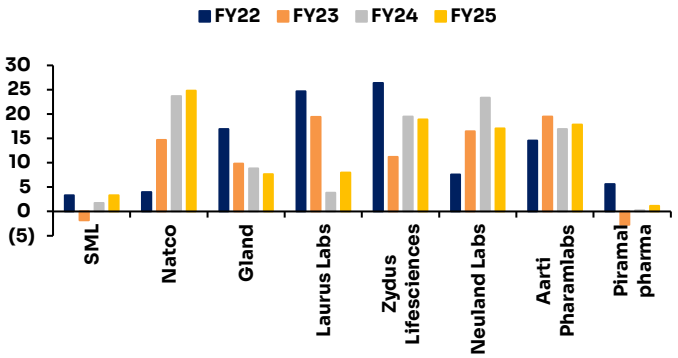
Peer Comparison

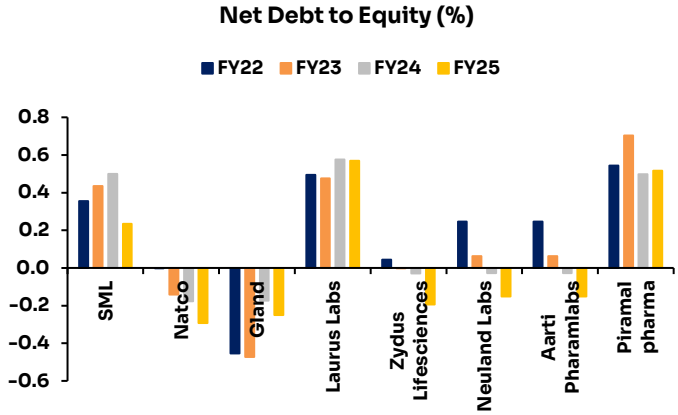


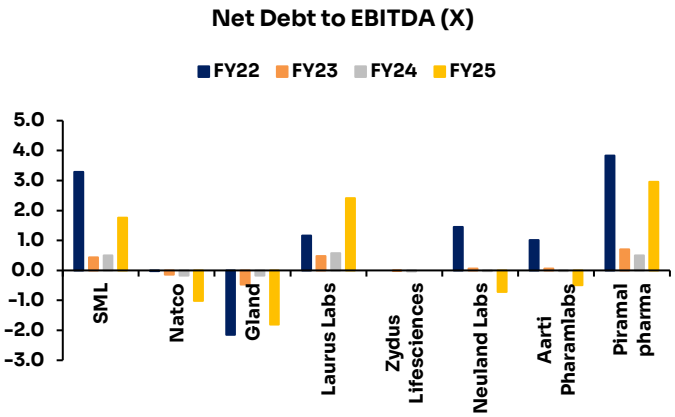


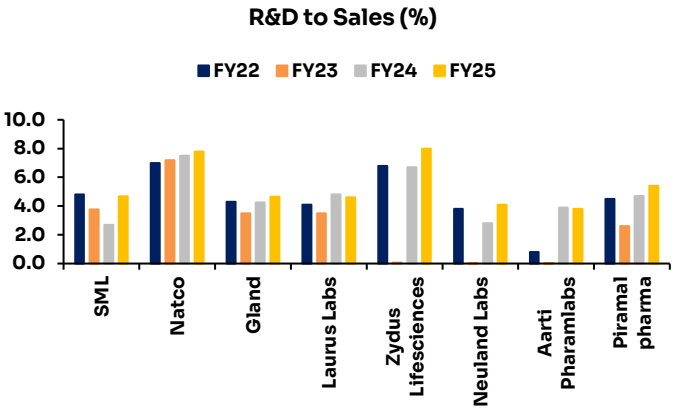












SML's Peer Comparison

Company Name	Mkt Cap	Price	PEG (X)	P/E (X)			EV/Sales (X)			EV/EBIDTA (X)			RoE (%)			RoIC (%)			Sales			EBITDA Margin (%)			Net Margin (%)		
				2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
Domestic Peers (Fig in INR cr, unless specified)																											
Shilpa Medicare Ltd	7,683.2	392.0	0.6	44.6	38.1	28.3	5.6	4.8	4.0	19.2	16.4	13.6	6.8	7.4	9.1	9.7	10.5	12.7	1,476.7	1,683.4	1,948.3	28.9	29.3	29.7	11.7	12.0	13.9
Natco Pharma	18447.4	1030.0	(0.9)	14.2	28.1	23.1	3.9	5.0	4.4	10.7	22.1	18.5	14.9	7.1	8.1	20.4	7.0	8.5	4016.9	2974.9	3427.9	36.7	22.8	23.5	32.2	22.1	23.3
Gland Pharma	28074.5	1704.0	0.8	30.6	24.4	20.3	4.0	3.5	3.0	16.6	13.5	11.2	9.3	10.6	11.5	15.4	19.0	21.5	6345.9	7188.0	8107.2	24.2	25.7	26.4	14.4	16.0	17.0
Laurus Labs	57170.8	1059.0	0.8	69.1	56.0	44.6	8.8	7.6	6.7	34.5	28.9	24.2	15.9	16.7	17.6	16.1	17.9	19.8	6798.5	7807.7	8909.7	25.4	26.4	27.5	12.2	13.1	14.4
Zydus lifesciences	87170.1	866.3	11.3	18.9	20.3	18.4	3.3	2.9	2.6	12.2	12.1	10.9	16.5	13.7	13.4	21.7	20.2	20.5	26400.4	28635.1	31062.0	26.8	24.1	24.2	17.5	15.0	15.3
Neuland Laboratories	16807.2	13100.0	1.1	65.3	38.2	30.8	9.6	7.6	6.7	39.8	25.5	20.9	14.6	20.2	20.3	20.1	26.9	26.8	1761.9	2219.1	2532.8	24.2	29.9	32.0	14.6	19.8	21.6
Aarti Pharmlabs	5874.6	648.0	5.3	25.1	20.2	19.4	3.4	2.6	2.2	13.5	10.4	9.1	11.4	12.7	11.8	15.8	18.1	18.1	1761.9	2219.1	2532.8	25.4	25.2	24.3	13.3	13.1	12.0
Piramal Pharma	19118.6	143.8	0.3	(186.1)	64.1	29.3	13.0	10.4	9.0	23.9	14.9	11.1	(1.3)	3.5	7.2	0.9	4.9	8.2	1761.9	2219.1	2532.8	11.8	16.3	18.0	0.8	4.5	6.5
Global Peers (Fig in USD mn, unless specified)																											
Zeria PharmacEutical	721.4	14.4	0.0	0.2	0.1	0.1	2.1	2.0	1.9	15.6	13.0	11.6	10.5	13.0	14.0	14.9	19.1	20.6	64226.3	65915.6	71238.0	13.4	15.7	16.3	6.3	7.6	8.2
Bide Pharmtech	775.0	8.5	0.0	0.1	0.1	0.1	6.6	6.3	5.7	29.9	26.0	23.0	46.8	43.1	47.4	32.1	39.8	44.7	45855.0	48151.7	53221.6	22.0	24.1	24.6	19.0	16.3	16.7
Apeloa Pharmaceutical	2962.5	2.6	0.1	5.7	4.6	3.7	7.4	6.8	5.7	28.2	24.1	19.3	36.7	36.0	33.7	76.5	75.4	78.5	2871.1	3101.8	3644.1	26.2	28.1	29.3	18.0	20.6	21.8

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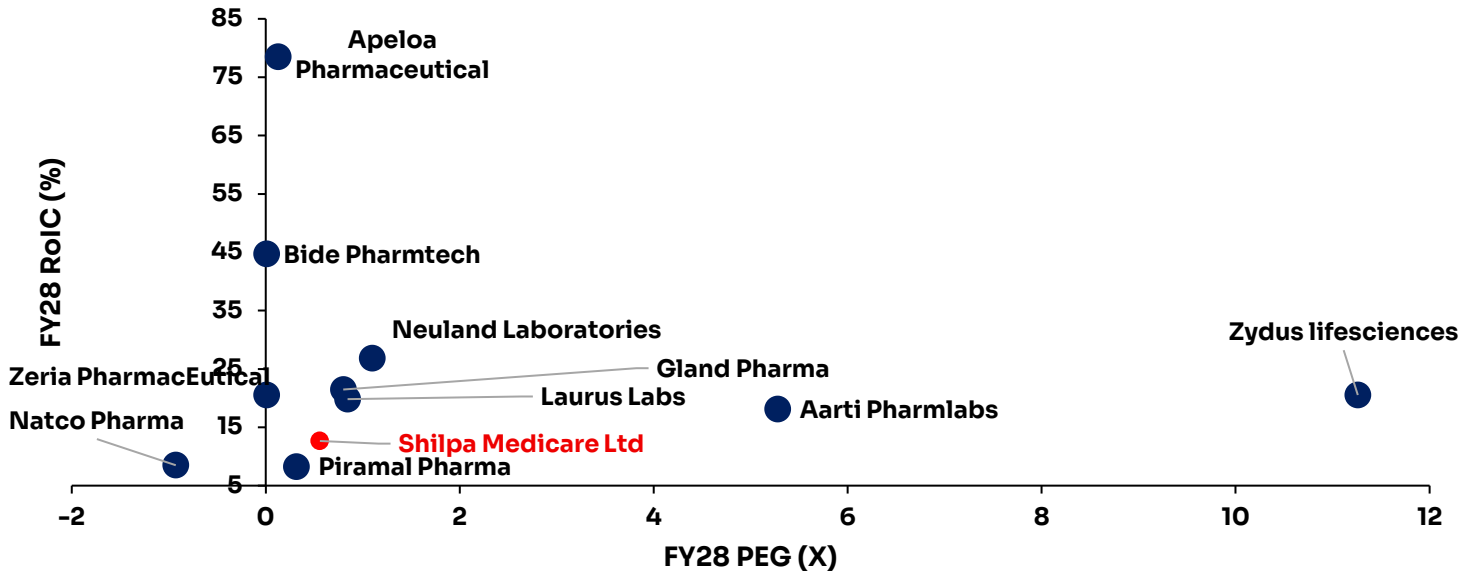
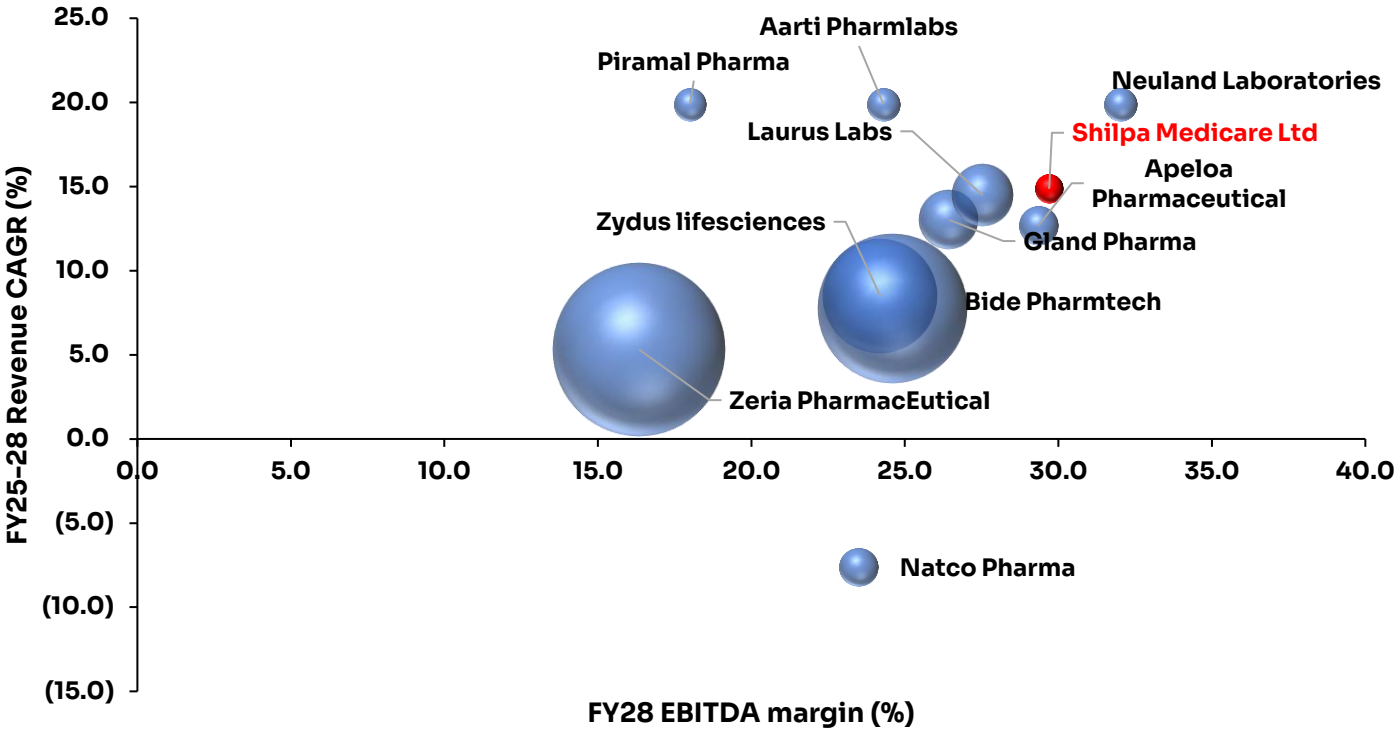
Favourable Growth-to-Valuation Positioning Among Peers



SML Positioned for Margin Expansion and Growth Acceleration



Bubble size represents the size of the companies' revenue

SML's Financial Summary

Fig in INR Cr (unless specified)	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E
Revenue from operations	1,151.6	1,286.4	1,476.7	1,683.4	1,948.3	2,281.4	2,691.0	3,169.6	3,706.7	4,351.1	5,129.6	6,076.8
YoY Growth (%)	*9.7*	*11.7*	*14.8*	*14.0*	*15.7*	*17.1*	*18.0*	*17.8*	*16.9*	*17.4*	*17.9*	*18.5*
Raw Material Cost	394.2	410.4	425.3	481.5	553.3	643.4	753.5	881.2	1,023.0	1,192.2	1,395.3	1,640.7
RM Cost to Sales (%)	*34.2*	*31.9*	*28.8*	*28.6*	*28.4*	*28.2*	*28.0*	*27.8*	*27.6*	*27.4*	*27.2*	*27.0*
Employee Cost	281.4	292.7	329.3	373.7	430.6	501.9	589.3	691.0	804.4	939.8	1,102.9	1,300.4
Employee Cost to Sales (%)	*24.4*	*22.8*	*22.3*	*22.2*	*22.1*	*22.0*	*21.9*	*21.8*	*21.7*	*21.6*	*21.5*	*21.4*
Other Expenses	240.5	266.4	295.3	335.0	385.8	449.4	527.4	618.1	719.1	839.8	984.9	1,160.7
Other Expenses to Sales (%)	*20.9*	*20.7*	*20.0*	*19.9*	*19.8*	*19.7*	*19.6*	*19.5*	*19.4*	*19.3*	*19.2*	*19.1*
EBITDA	235.5	316.9	426.8	493.2	578.7	686.7	820.8	979.4	1,160.2	1,379.3	1,646.6	1,975.0
EBITDA Margin (%)	*20.5*	*24.6*	*28.9*	*29.3*	*29.7*	*30.1*	*30.5*	*30.9*	*31.3*	*31.7*	*32.1*	*32.5*
PAT	36.7	79.5	172.2	201.2	270.3	349.9	449.3	567.9	709.3	879.9	1,077.6	1,320.7
PAT Margin (%)	*3.2*	*6.2*	*11.7*	*12.0*	*13.9*	*15.3*	*16.7*	*17.9*	*19.1*	*20.2*	*21.0*	*21.7*
Net Profit	31.9	78.3	170.8	199.6	268.4	347.6	446.6	564.8	705.6	875.5	1,072.5	1,314.6
Net Margin (%)	*2.8*	*6.1*	*11.6*	*11.9*	*13.8*	*15.2*	*16.6*	*17.8*	*19.0*	*20.1*	*20.9*	*21.6*
Adjusted EPS	1.6	4.0	8.7	10.2	13.7	17.8	22.8	28.9	36.1	44.8	54.8	67.2
P/E (X)	*238.7*	*97.2*	*44.6*	*38.1*	*28.3*	*21.9*	*17.0*	*13.5*	*10.8*	*8.7*	*7.1*	*5.8*
Adjusted BVPS	92.5	121.3	129.1	138.3	150.7	166.7	187.2	213.2	245.7	285.9	335.3	395.8
P/BV (X)	*4.2*	*3.2*	*3.0*	*2.8*	*2.6*	*2.3*	*2.1*	*1.8*	*1.6*	*1.4*	*1.2*	*1.0*
Enterprise Value	8,512.7	8,166.7	8,207.5	8,084.9	7,878.1	7,640.2	7,374.4	6,999.1	5,958.2	5,319.9	4,536.1	3,579.0
EV/EBITDA (X)	*36.1*	*25.8*	*19.2*	*16.4*	*13.6*	*11.1*	*9.0*	*7.1*	*5.1*	*3.9*	*2.8*	*1.8*
Net Worth	1,808.7	2,372.2	2,525.9	2,705.5	2,947.1	3,259.9	3,661.9	4,170.1	4,805.2	5,593.2	6,558.4	7,741.5
Return on Equity (%)	*1.8*	*3.3*	*6.8*	*7.4*	*9.1*	*10.7*	*12.2*	*13.5*	*14.7*	*15.7*	*16.4*	*17.0*
Capital Employed	2,744.3	2,958.6	3,144.7	3,264.3	3,425.9	3,658.7	3,980.6	4,408.9	4,837.1	5,595.1	6,558.4	7,741.5
Return on Capital Employed (%)	*2.9*	*4.4*	*7.1*	*7.4*	*8.9*	*10.3*	*11.8*	*13.2*	*14.7*	*15.5*	*16.1*	*16.8*
Invested Capital	2,712.5	2,930.1	3,124.6	3,181.6	3,216.3	3,291.3	3,427.4	3,560.4	3,154.5	3,304.2	3,485.6	3,711.7
Return on Invested Capital (%)	*4.7*	*7.0*	*9.7*	*10.5*	*12.7*	*15.3*	*18.3*	*21.8*	*30.0*	*35.0*	*40.6*	*46.7*
Cash Flow from Operations	136.7	132.2	351.3	425.4	502.7	527.4	551.8	650.1	766.7	899.8	1,062.3	1,260.7
Cash Flow from Investing	(166.6)	(198.0)	(311.1)	(220.5)	(214.0)	(208.3)	(203.3)	(188.8)	359.1	(172.1)	(171.2)	(172.2)
Cash Flow from Financing	46.8	62.7	(48.5)	(142.4)	(161.8)	(161.3)	(162.7)	(166.0)	(291.7)	(119.4)	(109.3)	(131.5)
Net Cash Flow	16.9	(3.2)	(8.4)	62.5	126.9	157.9	185.8	295.3	834.1	608.3	781.8	957.1
Free Cash Flow	(35.8)	(82.5)	116.5	208.6	293.2	324.6	354.9	468.4	599.7	736.3	901.0	1,100.0
FCF to Revenue (%)	*(3.1)*	*(6.4)*	*7.9*	*12.4*	*15.1*	*14.2*	*13.2*	*14.8*	*16.2*	*16.9*	*17.6*	*18.1*
FCF to EBITDA (%)	*(15.2)*	*(26.0)*	*27.3*	*42.3*	*50.7*	*47.3*	*43.2*	*47.8*	*51.7*	*53.4*	*54.7*	*55.7*
FCF to Net Profit (%)	*(112.3)*	*(105.4)*	*68.2*	*104.5*	*109.3*	*93.4*	*79.5*	*82.9*	*85.0*	*84.1*	*84.0*	*83.7*
FCF to Net Worth (%)	*(2.0)*	*(3.5)*	*4.6*	*7.7*	*10.0*	*10.0*	*9.7*	*11.2*	*12.5*	*13.2*	*13.7*	*14.2*
Total Debt	936	586	619	559	479	399	319	239	32	2	0	0
Net Debt	904	558	599	476	269	31	-234	-610	-1,651	-2,289	-3,073	-4,030
Net Debt to Equity (X)	*0.5*	*0.2*	*0.2*	*0.2*	*0.1*	*0.0*	*(0.1)*	*(0.1)*	*(0.3)*	*(0.4)*	*(0.5)*	*(0.5)*
Net Debt to EBITDA (X)	*3.8*	*1.8*	*1.4*	*1.0*	*0.5*	*0.0*	*(0.3)*	*(0.6)*	*(1.4)*	*(1.7)*	*(1.9)*	*(2.0)*
Interest Coverage Ratio (X)	*1.4*	*2.7*	*4.7*	*5.3*	*7.4*	*10.8*	*16.5*	*26.2*	*66.0*	*643.6*	*0.0*	*0.0*
Fundamental scores												
Altman Z Score	0.7	0.9	1.0	1.0	1.1	1.2	1.3	1.4	1.5	1.6	1.6	1.7
Piotroski F-score	7.0	8.0	6.0	8.0	8.0	8.0	8.0	8.0	9.0	8.0	7.0	7.0
Beneish M-score	(2.3)	(1.9)	(2.4)	(2.4)	(2.4)	(2.3)	(2.1)	(2.1)	(2.1)	(2.1)	(2.1)	(2.1)

Source: ACE Equity, Company Reports & Ventura Research

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Phases of SML's financial performance

We have analyzed SML's 18 -year financial performance, a period marked by multiple market cycles.

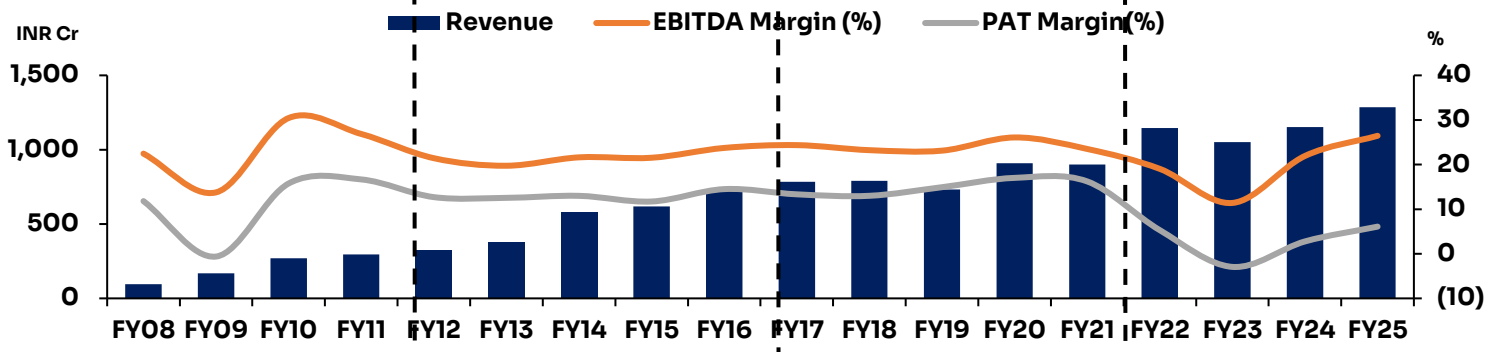
18 years of SML's business performance

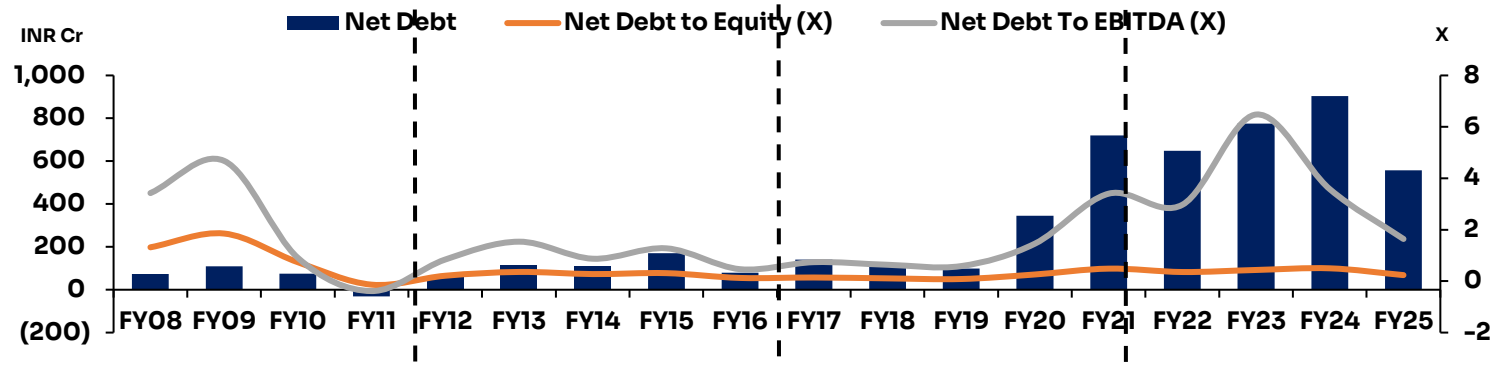
From FY08 to FY11, SML entered a strong expansion phase driven by oncology API exports and entry into regulated markets through DMF filings and export approvals. Revenue grew at a ~46% CAGR, while EBITDA margins expanded to 25–30% due to operating leverage and a higher export mix, although FY09 profitability saw a temporary dip due to forex volatility and capex-related costs. During this period, the company undertook significant capex, set up a 100% EOU facility, filed its first oncology DMF, and strengthened its regulated market presence, laying the foundation for its emergence as a regulated market-focused oncology API exporter.

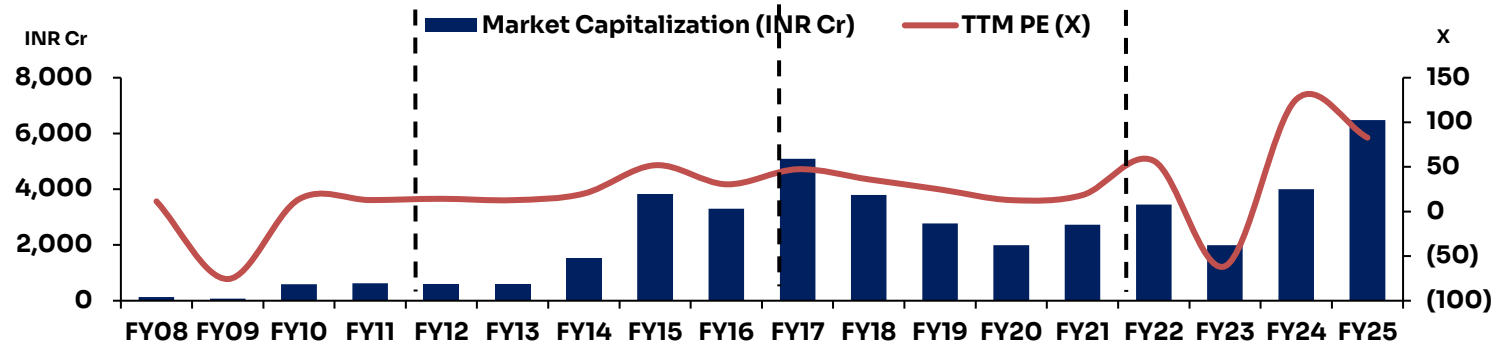
From FY12 to FY16, SML scaled revenue at a ~31% CAGR, driven by US oncology API approvals, export growth, and the Gilead CDMO contract, which marked its entry into regulated market CDMO opportunities. EBITDA margins remained stable at ~20–21% due to a strong API base, while PAT moderated in later years due to forex volatility, higher depreciation, and capex toward formulations and biologics. This phase marked Shilpa's transition from an oncology API exporter to an integrated pharma and CDMO player.

From FY17 to FY21, SML's revenue growth remained largely flat as the company was in a heavy capex and transition phase, despite expanding into biologics, formulations, and CDMO. EBITDA margins improved to ~25–26%, but PAT margins remained volatile in the ~8–17% range due to USFDA remediation costs, COVID disruptions, forex impact, and higher depreciation. This phase was focused on capability building and investment for future growth.

From FY22 onwards, Shilpa Medicare entered a turnaround phase, with revenue growth improving as regulatory issues eased, CDMO traction increased, and new product commercialization began. EBITDA margins remained in the mid-20% range, while PAT margins improved due to deleveraging and lower interest costs. This phase marks the shift from a capex-heavy cycle to commercialization and asset monetization, supporting return ratio improvement.







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SML 's SWOT Analysis

Shilpa Medicare Ltd.

Growth Drivers

- SML is a vertically integrated player with end-to-end capabilities from API to finished formulations and holds a strong position in oncology APIs.
- SML has forged high-value partnerships with "Big Pharma" and biotech innovators, including Orion Corporation (for Recombinant Albumin), Unicycive Therapeutics (for specialty CDMO), and Sun Pharma/Cipla (for biosimilars)
- The company has pioneered advanced delivery systems such as Oral Dissolving Films (ODF) and Transdermal Patches, which offer limited generic competition and higher patient compliance

Key Challenges

- The company has previously faced a US FDA import alert at the Jadcherla facility, and since it operates in regulated markets like the US and Europe, regulatory observations or approval delays remain a key risk.
- The company is expanding into complex segments such as biologics, peptides, GLP-1, and CDMO, where scaling, regulatory approvals, and client conversion remain key execution risks.
- The company historically had high dependence on a few large customer. Although the company is diversifying, customer concentration risk still remains to some extent in the CDMO and API segments.

New Trends

- The launch of NorUDCA (Noduca™) for NAFLD represents a massive opportunity as the first therapy globally approved to reverse liver disease profile, targeting a 1.2 billion patient global TAM
- GLP-1 is a large and fast-growing global market in diabetes and obesity, and patent expiries create an opportunity for new entrants.
- **Recombinant Human Albumin (rHA)-** this proprietary NBE (New Biological Entity) addresses a global plasma shortage and is covered by patents in developed markets like the US and Europe

Investment Themes

- The company has completed a large capex cycle in biologics, peptides, and manufacturing, and is now entering the asset monetization phase, which can lead to operating leverage and earnings growth.
- Capturing massive total addressable markets (TAM) through globally first-approved therapies like **NorUDCA** for NAFLD
- SML is moving from a traditional oncology API/generics player to a specialty pharma, biologics, and CDMO-led business, which typically operates at higher margins and better return ratios.

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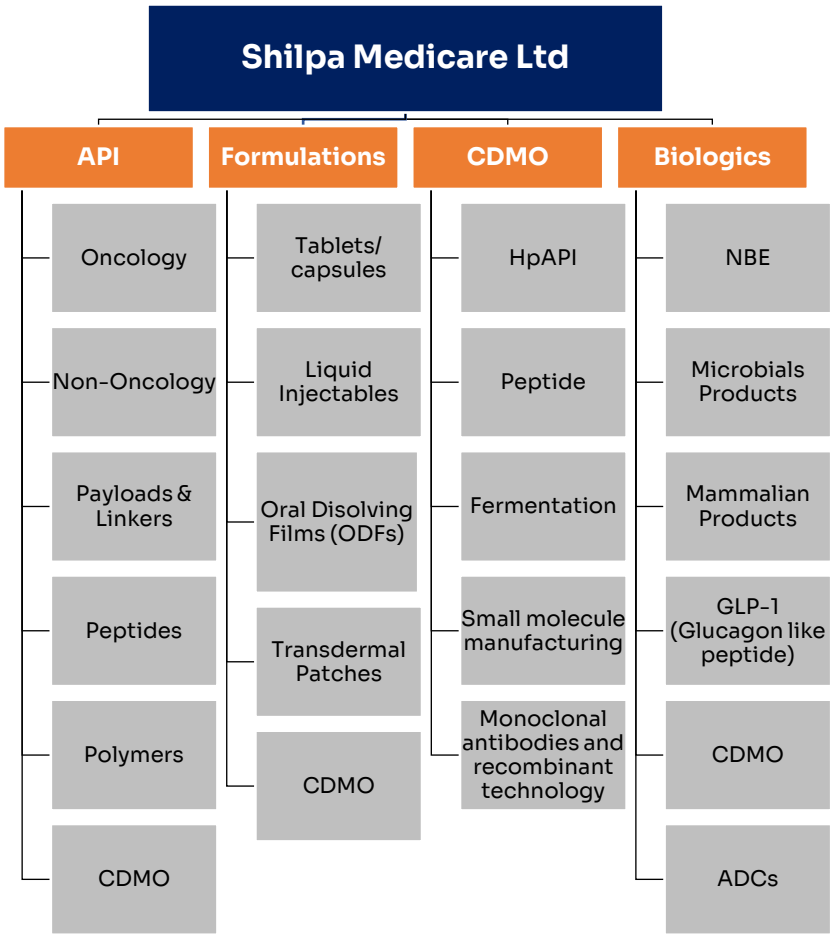
Building a High-Barrier Specialty Pharma Platform with Visible Long-Term Growth

SML is a leading pharmaceutical company with a strong presence in oncology APIs, formulations, biologics, and Contract Development and Manufacturing (CDMO) services. The company specializes in high-value, low-competition segments, focusing on specialty products like biologics, biosimilars, and niche formulations. With a diversified portfolio and a robust R&D pipeline, SML is positioned for sustained growth in regulated and emerging markets.

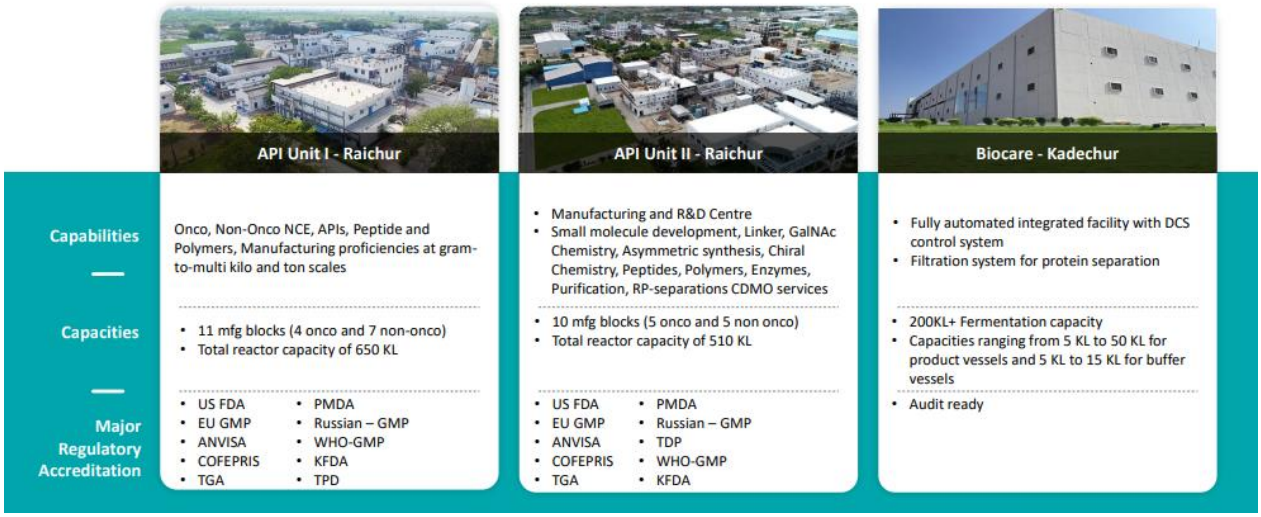
Business structure of SML



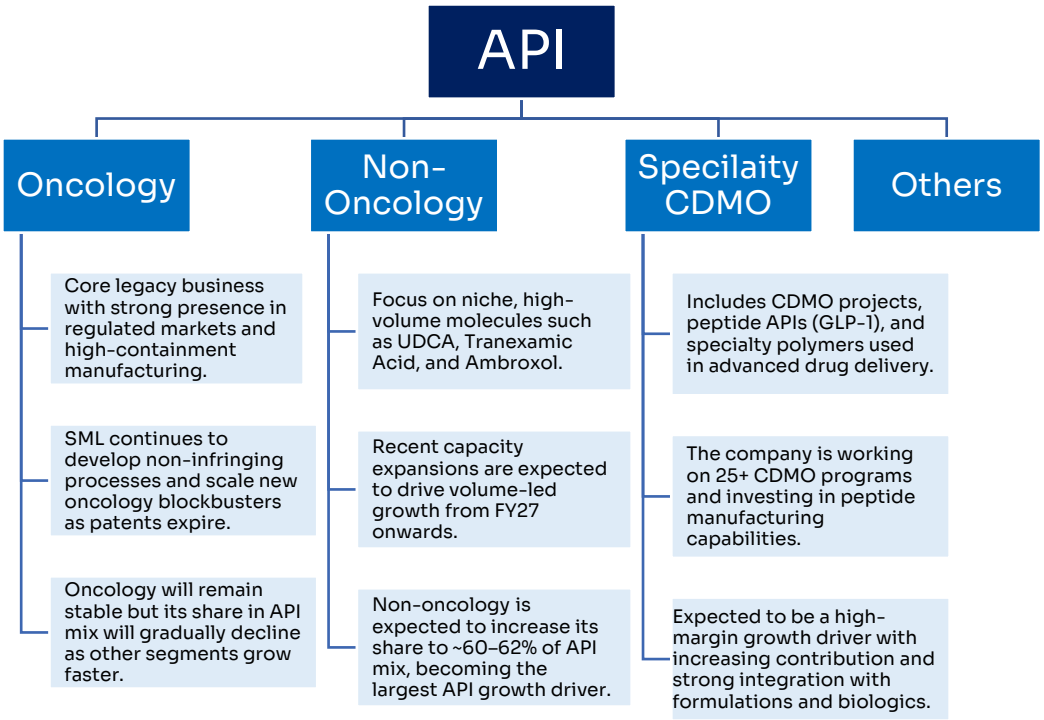
API

An API (Active Pharmaceutical Ingredient) is the main chemical or biological substance in a medicine that produces the intended therapeutic effect. SML has established a strong position in the API space, particularly in oncology and other complex APIs, where entry barriers are high due to complex chemistry, regulatory requirements, and long qualification timelines. The company primarily operates in regulated markets such as the US, Europe, and Japan, supported by multiple regulatory approvals and DMF filings, which has helped it build long-standing relationships with global pharmaceutical companies. SML's API business is supported by its state-of-the-art manufacturing facilities at Raichur. These facilities are cGMP complaint and approved by numerous national and international regulatory bodies including USFDA, EU, COFEPRIS, PMDA, KFDA, TPD, TGA & ANVISA. SML operates over 20 API's and intermediate manufacturing blocks with strict segregation between oncology and non-oncology production facilities.

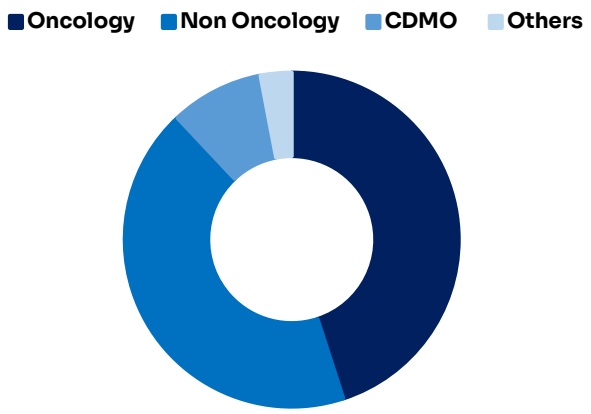
SML's State of the Art Manufacturing Facilities



API Segments

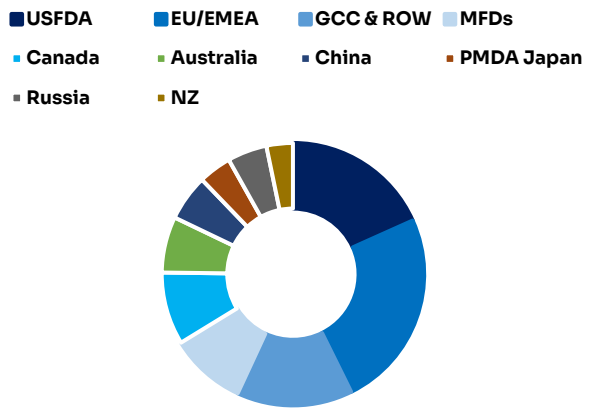


API- FY25 Segment wise breakup



- **Non-oncology APIs** to drive growth led by capacity expansion in UDCA and Tranexamic Acid, with volume ramp-up from FY27.
- **Specialty & CDMO APIs** to grow on the back of 25+ CDMO programs and commercialization of late-stage molecules.
- **Peptide APIs (GLP-1)** such as Liraglutide and Semaglutide represent a key long-term growth opportunity.
- Overall growth to be driven by **high-volume non-oncology and high-margin specialty/peptide segments**, improving margins and growth visibility.

API- FY25 DMF Filed Region Wise



- With **273 DMF filings across major regulated markets**, Shilpa is well positioned to **launch new APIs as patents expire**.
- The company's increasing filings in **complex molecules- GLP-1, peptides, and oncology blockbusters** indicate a strategic shift towards **high-value and limited-competition products**.
- A strong approval track record in **US and Europe** is expected to support **CDMO opportunities and long-term supply agreements** with global pharma

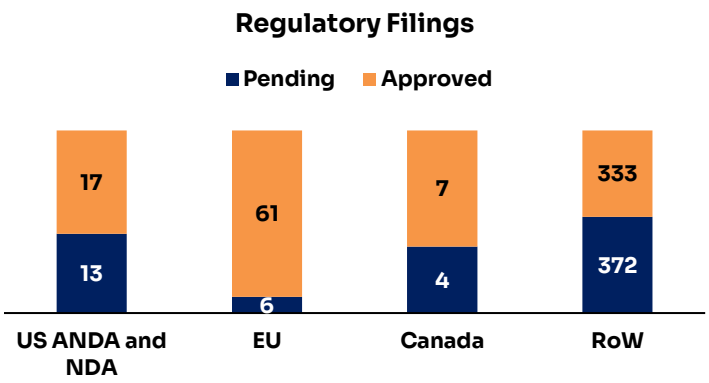
Formulations

Finished Dosage Form (FDF) in pharmaceuticals refers to the final, ready-to-consume medicine, such as tablets, capsules, or injections. It combines the Active Pharmaceutical Ingredient (API) with excipients, undergoing complete processing, packaging, and sterilization to become a drug product suitable for patient use. FDF business is focused on complex and specialty products such as oncology injectables, sterile formulations, peptides and biosimilars, primarily for regulated markets like the US and Europe. Unlike commoditized oral generics, SML is building capabilities in high-entry-barrier segments such as complex injectables and peptide-based formulations, where competition is limited and margins are structurally higher. The company is scaling this segment through new product launches, ANDA filings, technology transfers from its API business, and increased utilization of its formulation facilities. Over time, the FDF segment is expected to become a key growth and margin driver for the company as it shifts its product mix toward more complex and value-added formulations. Having specialized in oncology, they are expanding into high-growth therapeutic areas such as Neurology & Dermatology, supported by cutting-edge R&D in complex formulations, drug-device combinations, and novel delivery systems.

SML's Key Focus Areas in Complex Formulations

Complex Injectables	Drug-Device Combinations	Novel Drug Delivery Systems	Oncology & Adjuvant Therapies	Emerging Therapies
Peptides, liposomes, nanoparticles, and ready-to-use injectables.	Pen injectors for precision delivery.	Hot melt extrusion technology, oral thin films (ODFs), and transdermal patches.	Including supportive care products like anti-emetics.	Neuro and Derma

Strong Product Pipeline Across Key Markets



- With **813 filings across major regulated markets**, SML has built a strong regulatory pipeline across key regulated markets, with filings in the US, EU and Canada, along with a large presence in Rest of the World (RoW) markets.
- A higher number of pending filings, particularly in the US and RoW markets, indicates a strong upcoming product pipeline and growth visibility in the formulations segment.
- Continued approvals and commercialization of these filings are expected to drive growth in the FDF business, improve capacity utilization and support margin expansion over the medium term.

SML's State of the Art Manufacturing Formulation Facilities

	Formulations - Jadcherla	Formulations - Bangalore
Capabilities	OSD tablets and capsules; Injectables – dry powder and liquid lyophilization	Fully automated facility for Transdermal patches and Oral Thin Films
Capacities	Injectable - ~3mn Liquid Vials Lyophilized - ~2mn Vials OSD – 25mn Tablets Capsules – 4mn Hard Capsules	ODF - ~50mn Units TDF - ~30mn Units
Major Regulatory Accreditation	EU GMP, ANVISA, TGA, WHO-GMP, SHAPRA, SFDA, Health Canada, GHC	US FDA, WHO-GMP, UK-MHRA, EU GMP, TGA, SFDA

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Biologics

Biologics are complex medicines derived from living cells, microorganisms, or animal/human tissues, used to treat severe diseases like cancer, autoimmune disorders, and diabetes. Unlike chemical drugs, they are large molecules produced via biotechnology (e.g., monoclonal antibodies, gene therapies). Shilpa Biologicals Pvt. Ltd. (SBPL), the biologics arm of SML, focuses on the development and manufacturing of biosimilars, monoclonal antibodies, recombinant proteins and other complex biologics targeting therapy areas such as oncology, immunology, ophthalmology and haematology. The company's integrated R&D and manufacturing facility in Dharwad is equipped with large-scale microbial and mammalian production capabilities, positioning it to participate in the fast-growing global biologics and biosimilars market. The biologics segment represents a long-term growth driver for the company, supported by a strong product pipeline, increasing global demand for affordable biosimilars, potential CDMO opportunities and higher-margin commercialization in regulated markets. As products progress toward approvals and commercialization over the next few years, the biologics segment is expected to contribute meaningfully to revenue growth, margin expansion and overall return ratios, given the high entry barriers and structurally higher profitability associated with biologics compared to traditional generics.

Broad Spectrum of Uses of Biologics

Therapeutics
As a potential treatment for various medical conditions

Vaccine ingredient
Enhancing vaccine stability and efficacy medical conditions

Drug delivery
Facilitating the delivery of drugs within the body

Medical devices
Improving the performance of medical devices

Media ingredients
Optimising cell culture media for research and biotechnology

Diagnostics
Playing a role in diagnostic tests

Cryopreservation and biologics
Supporting the preservation of biological materials

Key Growth Drivers of Biologics

- Strong Biosimilars Pipeline
- Large Addressable Market
- High Entry Barriers
- Governmnet Push for Biosimilars
- Integrated Manufacturing Capabilities

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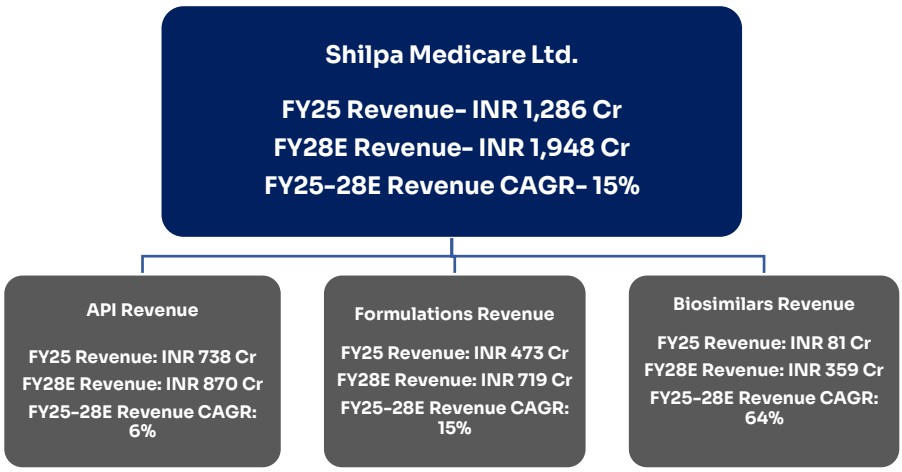
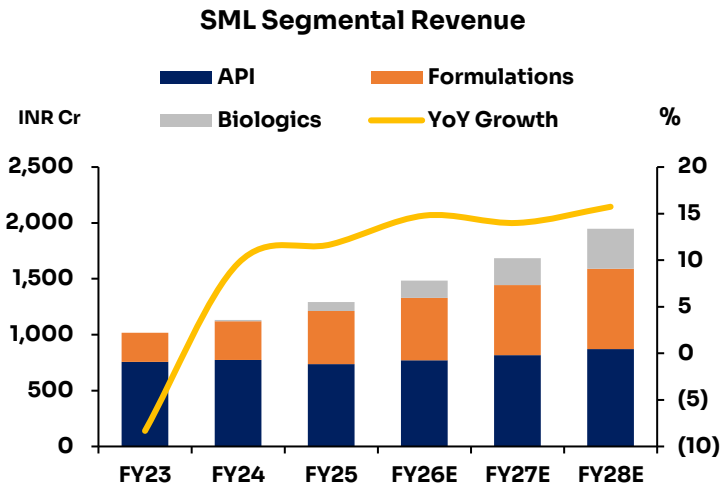
SML's business structure and Ventura growth estimates

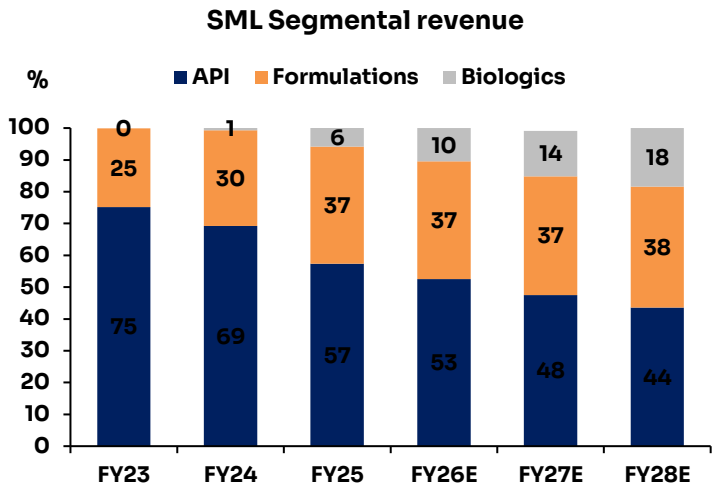


SML's Story in Charts

Structural Drivers in Place for Revenue Acceleration Beyond FY26 Ramp-Up Phase

- FY23 marked the beginning of the slowdown phase due to the USFDA import alert on the Jadcherla facility, client concentration issues (Intas impact), and a post-COVID slowdown in the API industry, which led to pricing pressure and destocking. Since APIs contributed ~70% of revenue, this high dependence on a single segment resulted in revenue stagnation and pressure on margins and return ratios.
- FY24 was a bottoming-out phase, where performance remained weak due to underutilised assets from COVID-related biologics investments, high debt levels (~INR 950 crore), and continued regulatory and industry headwinds. During this period, the company focused on resolving regulatory issues, reducing debt, and building its formulations, biologics, and CDMO pipeline.
- FY25 marked a clear inflection point, with the company returning to growth driven by strong traction in the formulations segment and initial contribution from biologics, leading to improvement in margins and return ratios due to a better business mix.
- FY26 is expected to be a transition year, with growth increasingly driven by formulations and biologics. Overall revenue is expected to grow at ~15% CAGR over FY25–FY28E, led by formulations (~15% CAGR) and biologics (~64% CAGR), while APIs are expected to grow at a relatively moderate ~6% CAGR, reflecting a gradual shift in the business model.
- From FY27 onwards, growth is expected to accelerate as complex formulations, biologics, and CDMO opportunities scale up, supported by product launches, regulatory approvals, and better utilisation of existing capacities.
- By FY28, the revenue mix is expected to change meaningfully, with APIs contributing ~43.5%, formulations ~38%, and biologics ~18.4%, indicating a structural shift toward higher-margin businesses, which should support margin expansion and improvement in return ratios.
- Overall, the decline in performance between FY23 and FY24 was largely cyclical and segment-mix driven, while the recovery from FY25 onwards appears structural, led by the shift toward complex formulations, biologics, and CDMO, which is expected to drive growth and margins.





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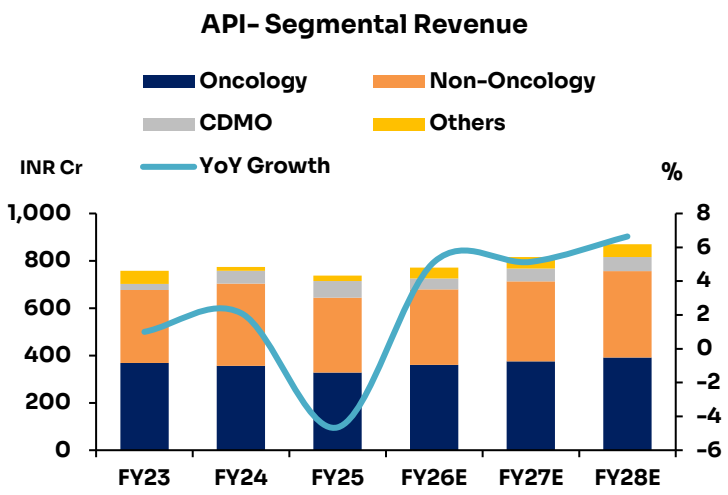

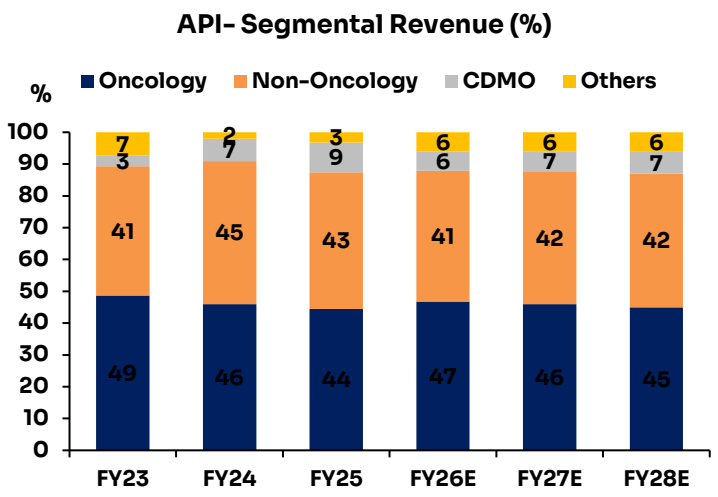

API Segment: Transitioning from a Core Revenue Driver to a Strategic Backbone

- The API segment, which has historically been the core business of SML, witnessed a temporary slowdown between FY23 and FY25, with API revenue declining by ~4.7% YoY in FY25 to INR 736 crore. The decline was mainly due to capacity being prioritised for captive consumption for the formulations business, lower offtake from certain key customers, and continued pricing pressure in the global generic API market. Importantly, this decline was strategic rather than structural, as the company focused on capturing higher end-to-end margins through its formulations business.

- Within the API segment, the revenue mix is gradually evolving, with oncology share declining from ~49% in FY23 to ~45% by FY28E, while non-oncology APIs and CDMO are steadily increasing their contribution. This reflects the company's strategy to diversify the API portfolio and increase the share of relatively stable and higher-margin CDMO and specialty API products.

- Going forward, growth in the API segment is expected to be driven by capacity expansion and volume ramp-up in key molecules such as UDCA, Tranexamic Acid, and Ambroxol, along with increasing captive consumption for the formulations business. The API Segment is expected to grow at a CAGR of 6% over FY25 to FY28E reaching INR 870 Cr in revenue.

- In addition, the company is strengthening its presence in complex oncology APIs, peptides (including GLP-1 opportunities), specialty polymers, and API-based CDMO, which are higher-value and higher-margin opportunities compared to traditional APIs.

- Overall, while the API segment is expected to grow at a moderate pace, its role is evolving from being the primary growth driver to becoming a strategic backbone that supports formulations, biologics, and CDMO growth through backward integration and complex chemistry capabilities.

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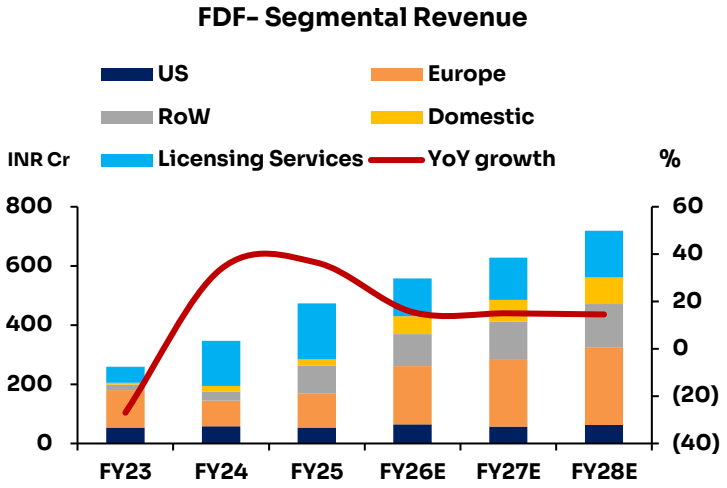
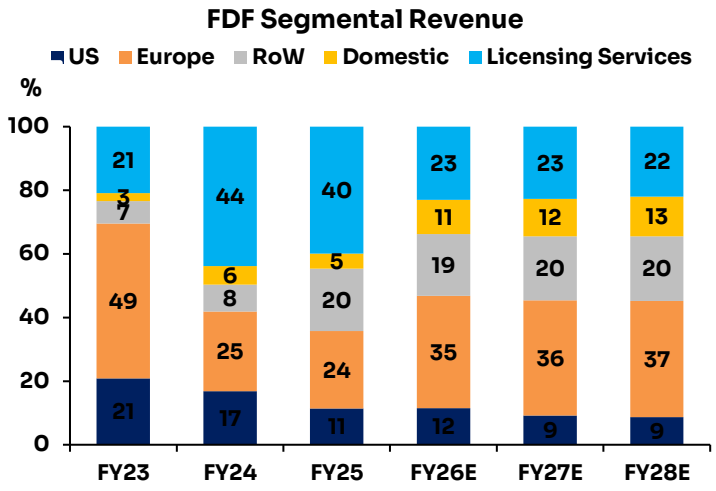
FDF Segment: Transitioning from a Generic Business to a Specialty-Led Platform

- The FDF segment witnessed a sharp decline in FY23 due to the USFDA import alert on the Jadcherla facility, high debt (~INR 950 crore), and underutilised assets from COVID-related biologics investments, which kept the formulations business subdued during FY23–FY24.
- Recovery began from FY25 onwards, supported by financial restructuring and R&D monetisation. The company raised INR 500 crore through QIP to reduce high-cost debt, while licensing income increased significantly from ~INR 50 crore in FY23 to ~INR 200 crore in FY25, providing a high-margin, asset-light revenue stream. The FDF Segment is expected to grow at a CAGR of 15% over FY25 to FY28E reaching INR 719 Cr in revenue.
- The company has shifted its strategy from plain generics to complex and differentiated products such as RTU injectables, ODF films, and transdermal patches, which typically have higher margins and lower competition compared to traditional generics.
- Future growth is expected to be driven by specialty product launches such as NorUDCA, Rotigotine transdermal patch, and Ondansetron ER injection, along with continued traction in the 505(b)(2) portfolio like Pemetrexed and Bortezomib.
- The geographic mix is also evolving, with Europe currently the largest market, India expected to be the fastest-growing market driven by NorUDCA (INR 20 crore revenue in ~40 days; ~INR 100 crore annual run-rate potential), and RoW expanding through new market entries, while the US remains a large long-term opportunity post resolution of the import alert.
- The company is also focused on improving asset utilisation, with ~INR 1,000 crore of underutilised gross block, which should drive operating leverage, margin expansion, and improvement in return ratios over time.
- Overall, the FDF segment is transitioning from a regulatory-impacted, debt-heavy phase to a specialty-led, licensing-driven, and high-margin business, and is expected to be one of the key growth drivers for the company over the medium term.





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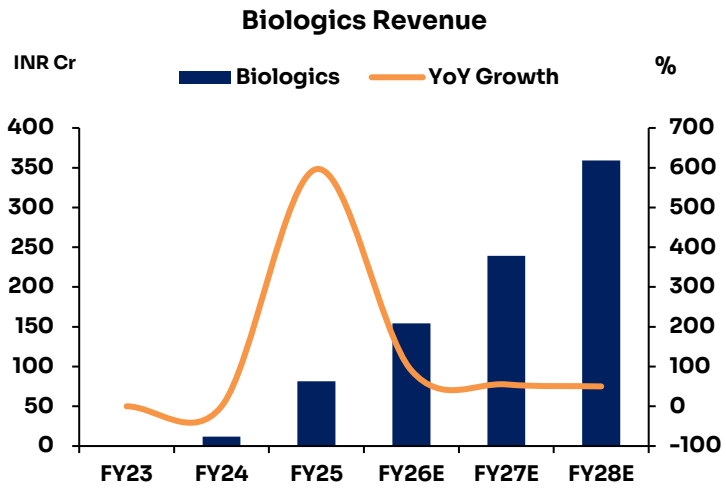

Biologics: The Next Growth Engine for SML

- Shilpa Medicare entered the biologics segment around FY18 and invested ~INR 450–480 crore to set up its Dharwad biologics facility. However, initial growth remained slow due to underutilisation of assets, especially after COVID-related opportunities did not scale up as expected, leading to a heavy capital phase during FY21–FY23.

- The segment has now reached an inflection point, with revenue more than doubling from ~INR 31 crore in FY24 to ~INR 76 crore in FY25, indicating the beginning of the commercialisation phase.

- Growth is currently driven by Adalimumab launch in India, biologics CDMO projects, and licensing income such as the partnership for Recombinant Human Albumin (rHA) in Europe, which provides milestone and recurring revenue opportunities.

- The company has a pipeline of high-value biologics and biosimilars including Aflibercept, rHA, and oncology biosimilars, along with opportunities in antibody-drug conjugates (ADCs) and biologics CDMO, which are high-margin and high-entry-barrier segments.

- The biologics segment is expected to follow a J-curve growth trajectory, as the company begins to utilise its underutilised biologics assets (part of ~INR 1,000 crore gross block), which should lead to operating leverage, margin expansion, and improvement in return ratios as revenues scale up. This segment is expected to grow at a CAGR of 64% over FY25 to FY29E reaching INR 359 Cr in revenue.

- While biologics currently contributes a small share of revenue, it has the potential to become a meaningful contributor over the long term, with management indicating that biologics could contribute almost 30% of total revenue by FY30.

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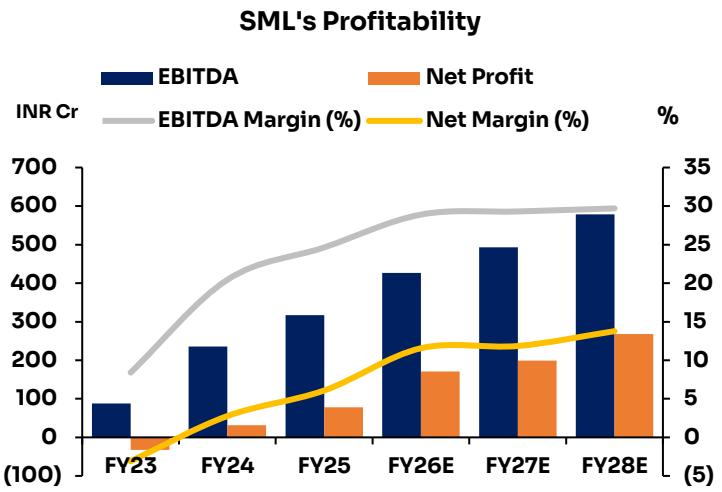
Profitability Outlook: Mix Improvement and Asset Utilisation to Drive Earnings

- EBITDA is projected to grow at ~22% CAGR over FY25–FY28E, with EBITDA margins improving from 24.6% in FY25 to 29.7% by FY28E, driven by operating leverage and an increasing contribution from high-margin businesses such as specialty formulations, biologics, CDMO, and licensing.
- PAT is expected to grow faster than EBITDA at 50% CAGR over FY25–FY28E, supported by margin expansion, lower finance costs post deleveraging (QIP-led debt reduction), and improved asset utilisation.
- Margin expansion is primarily mix-driven, as the contribution from FDF, biologics, CDMO, and licensing (70%+ gross margin businesses) increases, while the share of the relatively lower-margin API segment declines.
- Operating leverage is the key driver — the company has already invested heavily in biologics, R&D, and formulations (large underutilised gross block), and as utilisation improves, revenue growth will come with limited incremental fixed costs, leading to EBITDA margin expansion.
- Interest costs are expected to decline due to debt reduction and improving cash flows, which will support net profit margins and result in PAT growing faster than EBITDA.
- Depreciation may remain elevated in the near term due to recently commissioned facilities (biologics, formulations, R&D), but as utilisation ramps up from FY26 onwards, asset turns will improve, supporting ROCE expansion.
- From FY27 onwards, earnings visibility improves significantly as:
    - Biologics commercialisation scales up
    - Specialty formulations (NorUDCA, Rotigotine, ODF, RTU injectables) ramp up
    - CDMO business scales up
    - Licensing income increases
    - US market opportunity resumes post regulatory resolution



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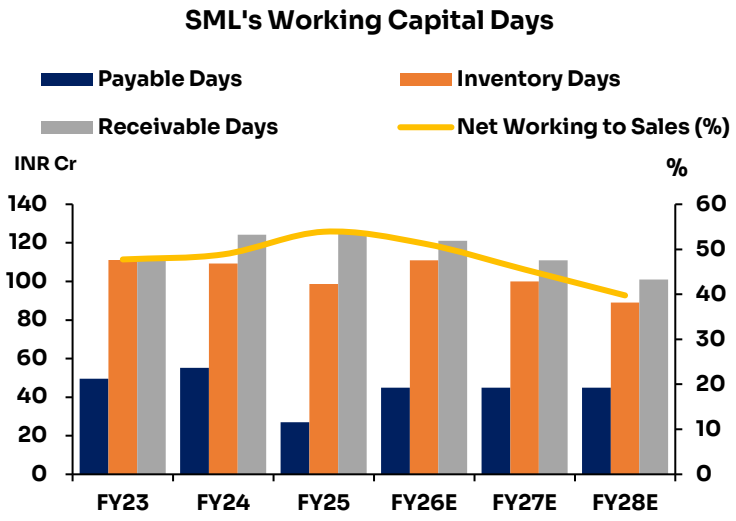
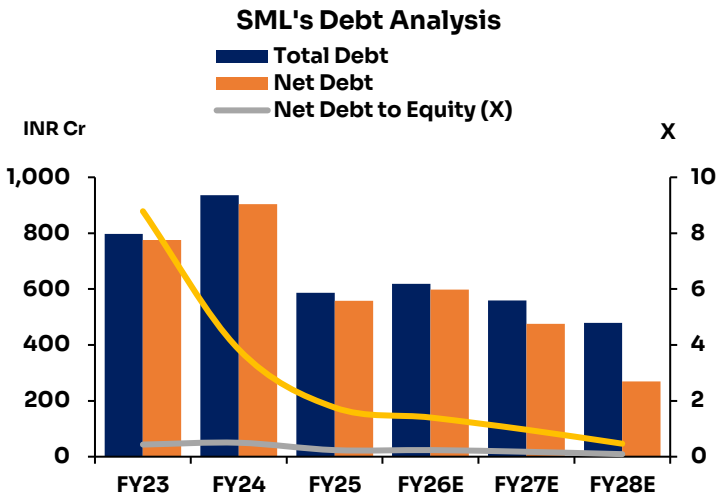


Working Capital: Efficiency Improving with Scale

- SML's working capital intensity is expected to improve materially, with Net Working Capital to Sales declining from ~50% in FY23 to ~30% by FY28E, indicating improving cash flow efficiency as revenue scales and asset utilisation improves.
- Receivable days increased to ~120 days in FY24–FY25 due to higher contribution from regulated markets (US and Europe), where payment cycles are structurally longer, and due to temporary business disruption during the regulatory impact period. However, as revenues stabilise and customer mix improves, receivable days are expected to normalise to ~90–100 days by FY27–FY28.
- Inventory days remained elevated (~90–100 days) during FY23–FY25 as the company-built inventory for new product launches, biologics scale-up, and specialty product ramp-up. As utilisation improves and product sales stabilise, inventory days are expected to decline to ~80 days, improving working capital efficiency.
- Payable days have remained relatively stable (~40–60 days), indicating the company is not aggressively stretching suppliers and is maintaining normal credit terms. This suggests working capital expansion earlier was driven more by receivables and inventory rather than payables.
- The earlier high working capital was due to low revenue and underutilised assets; as revenue grows from the same asset base, working capital intensity will decline and operating cash flows will improve.

Balance Sheet: Deleveraging Cycle Underway

- Debt peaked at INR 936 crore in FY24 due to heavy capex in biologics, formulations, and R&D facilities, along with working capital requirements and underutilized assets during the regulatory impact period; post QIP and cash flow improvement, debt is expected to decline to INR 480 crore by FY28E.
- Net Debt to EBITDA is expected to improve sharply from 4x in FY24 to ~1x by FY28E, driven by strong EBITDA growth and gradual debt reduction, bringing leverage below industry averages.
- Net Debt to Equity is expected to decline from ~0.6x to ~0.2x, reflecting a strengthening balance sheet and lower financial risk.
- The deleveraging cycle is supported by higher EBITDA from specialty/biologics/CDMO, improving working capital cycle, and lower capex intensity, which will lead to lower interest costs, higher net profit, stronger free cash flow, and improvement in ROCE



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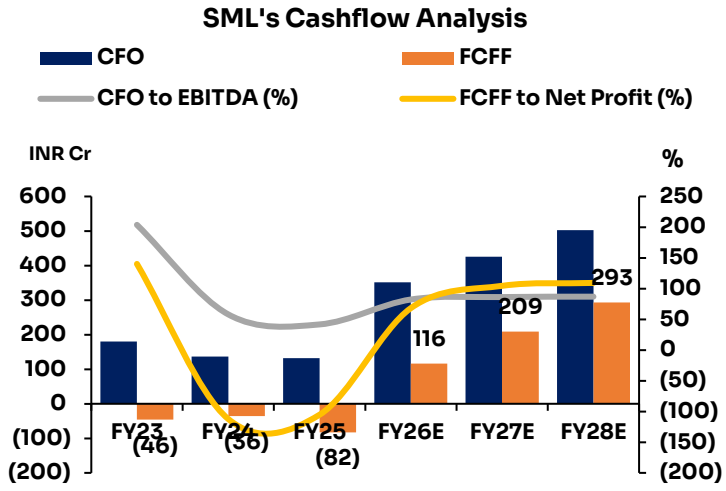
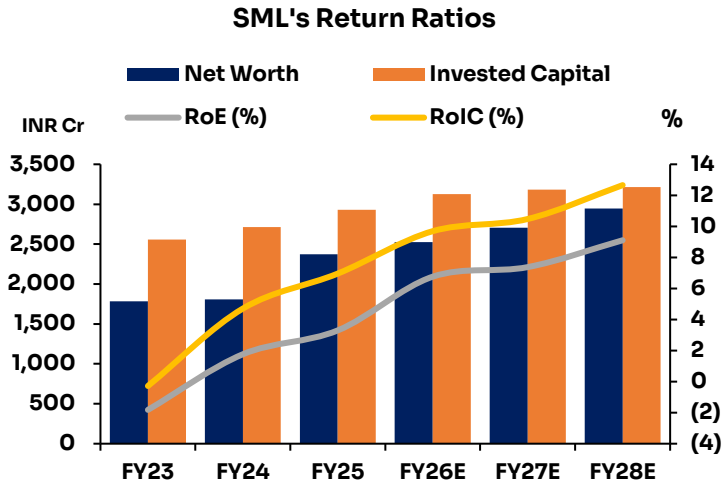
Cash Flow: Moving from Investment Phase to Cash Harvest Phase

- FY23–FY24 was a cash flow investment phase, where operating cash flows were weak and free cash flows were negative due to heavy capex in biologics, formulations, and R&D, along with high working capital requirements and underutilised assets during the regulatory impact period.
- From FY25 onwards, operating cash flow is expected to improve significantly (INR 503 crore), with CFO to EBITDA at 87 % in FY28E driven by EBITDA growth and working capital normalisation as revenues scale and receivable/inventory days decline.
- Free Cash Flow is expected to turn positive from FY26 onwards and reach INR 293 Cr by FY28E, as the company moves from a peak capex phase to a maintenance capex phase, while EBITDA continues to grow, leading to strong cash generation.
- Over FY26–FY28E, FCF is expected to increase steadily, supported by margin expansion, improving working capital efficiency, and lower interest costs due to deleveraging, which will enable the company to repay debt, fund capex through internal accruals, and improve return ratios.





Return Ratios: From Investment Phase to Return Expansion Cycle

- RoE and RoIC remained negative in FY23 as the company were in a heavy investment phase, with invested capital rising to INR 3,000cr due to biologics, API and FDF capex, while revenue and EBITDA were yet to fully ramp up, leading to weak asset turns and suppressed return ratios.
- From FY25 onwards, return ratios began improving as revenues scaled up and EBITDA margins expanded (~29% in 9MFY26), resulting in operating leverage and better asset utilization, with ROE improving to ~10–12% and ROIC to ~8–10%.
- Over FY26E–FY28E, invested capital is expected to stabilize at INR 3,200cr while net worth continues to grow, which should improve capital efficiency and drive ROE and ROIC to 9% and 13% respectively, moving closer to pharma peer averages.
- Overall, the improvement in return ratios indicates that the earlier capex cycle is now beginning to generate returns, and the company is transitioning from an investment phase to a return generation phase, which is typically a key re-rating trigger for specialty pharma and CDMO companies.

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Five step Dupont analysis for SML

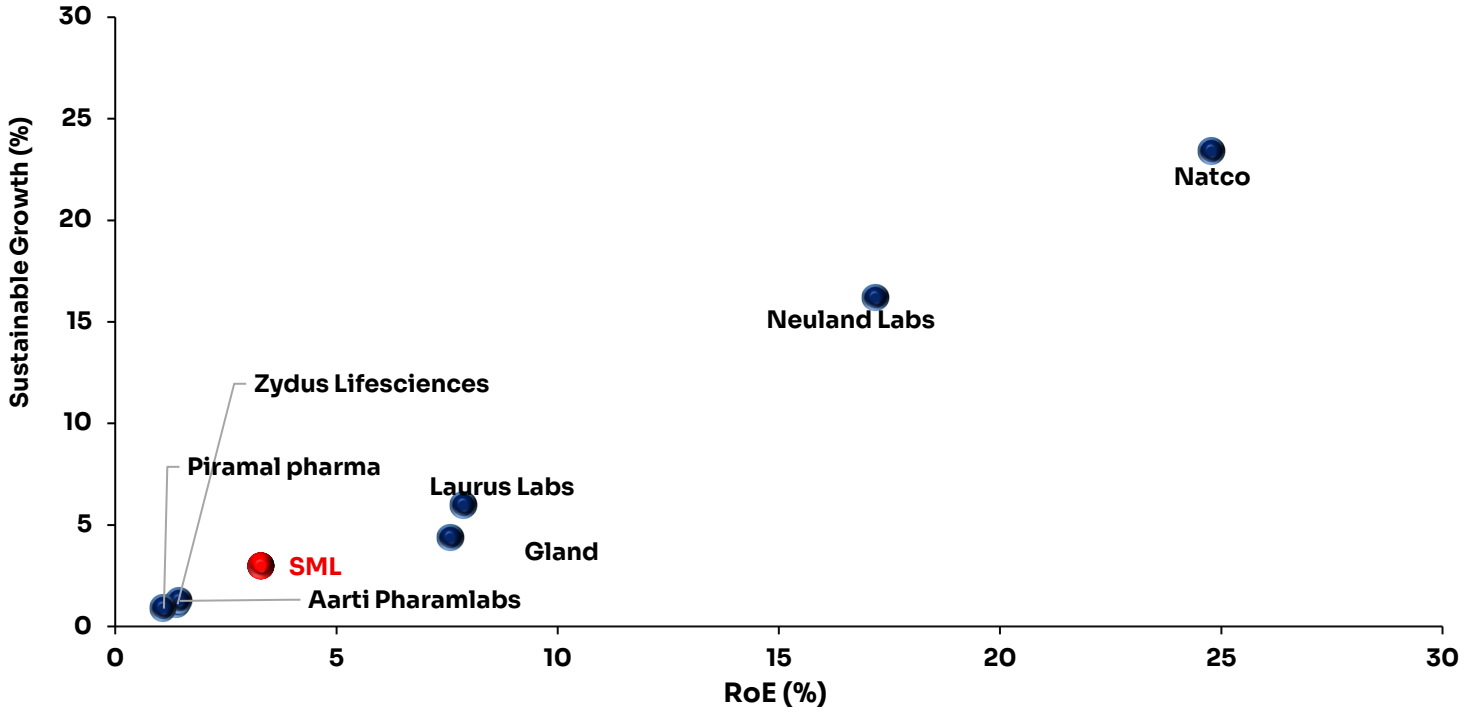
We have used five-step Dupont analysis to analyze SML's financial strength.

Five step Dupont Analysis for FY25 – SML vs peers

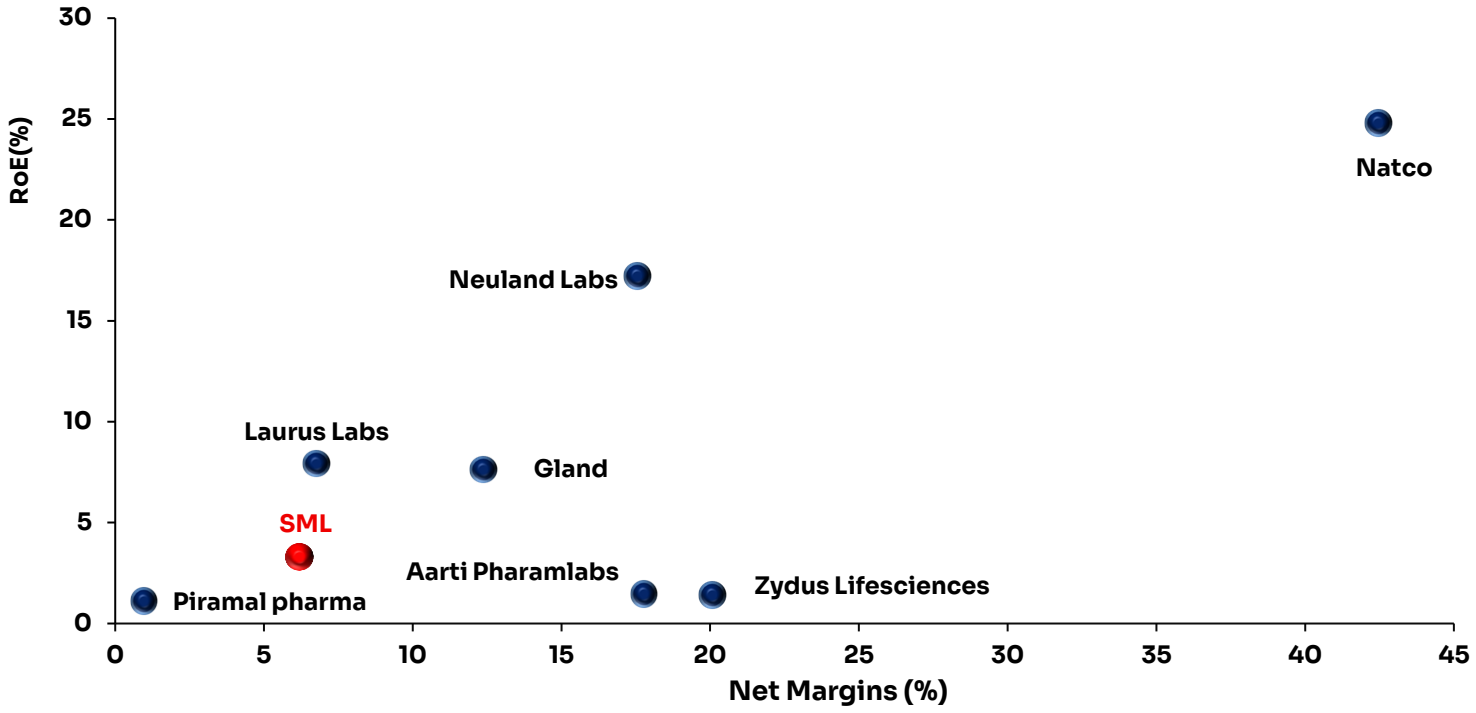
Companies	Interest Burden (X)	Tax Burden (X)	EBIT margin (%)	Total Asset Turnover (X)	Total Asset to Networth (X)	RoE (%)	Dividend Payout (%)	Sustainable growth (%)	Net Margin (%)
SML	0.6	0.6	15.9	0.4	1.4	3.3	10.0	3.0	6.2
Natco	1.0	0.8	52.3	0.5	1.1	24.8	5.7	23.4	42.5
Gland	1.0	0.7	19.7	0.5	1.2	7.6	42.5	4.4	12.4
Laurus Labs	0.7	0.7	12.6	0.6	2.1	7.9	24.4	6.0	6.8
Zydus Lifesciences	20.4	0.8	26.6	0.8	0.8	1.4	22.4	1.1	20.1
Neuland Labs	1.0	0.8	24.0	0.7	1.4	17.2	6.0	16.2	17.6
Aarti Pharamlabs	12.9	1.0	18.3	0.8	0.7	1.5	13.7	1.3	17.8
Piramal pharma	0.5	0.2	9.1	0.7	1.5	1.1	19.8	0.9	1.0

SML currently operates with an EBIT margin of ~15.9% and asset turnover of ~0.4x, placing it in the mid-pack among pharma peers, while its ROE remains relatively low at ~3.3% due to the large capital base built during the recent capex cycle. The company's lower interest burden (~0.6x) and moderate leverage (asset to net worth ~1.4x) indicate a relatively comfortable balance sheet, but returns are currently suppressed due to underutilised assets. With a low dividend payout (~10%), the company is retaining earnings to fund growth in high-margin segments such as CDMO, complex generics and biologics. As utilisation improves and margins expand, SML's return ratios have strong potential to improve, indicating that the company is currently in an investment phase rather than a peak return phase.

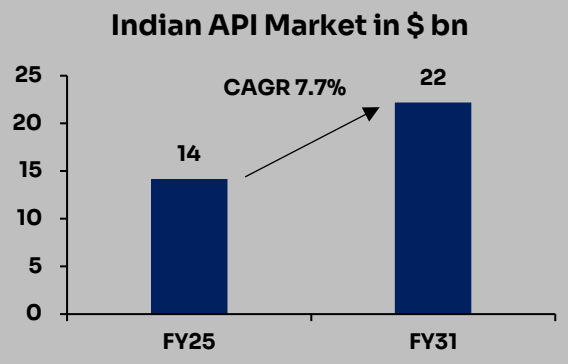
SML Positioned for Return and Sustainable Growth Expansion

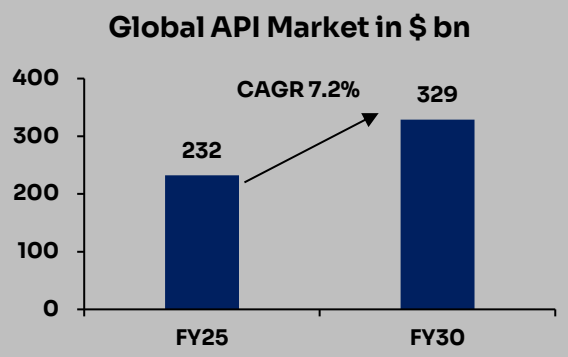


Margin Profile Yet to Translate into Return Ratios



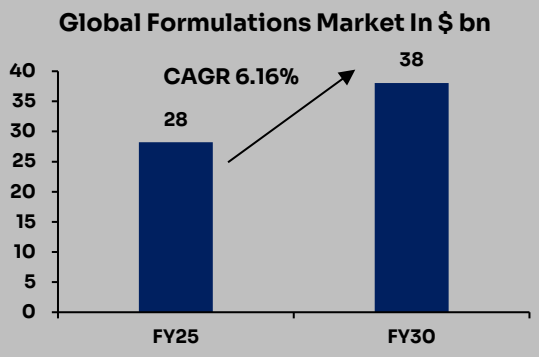
Sector Tailwinds Strengthen SML's Position in High-Value Pharma Markets

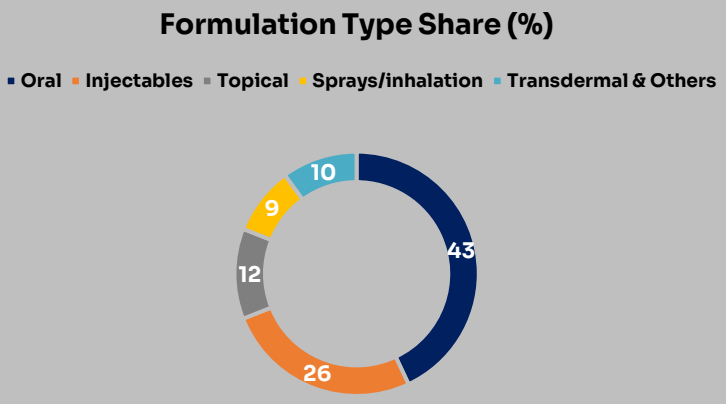




The India Active Pharmaceutical Ingredients (API) market is estimated at USD 14.18 billion in 2025 and is expected to reach USD 22.18 billion by 2031, growing at a CAGR of ~7.7%, driven by export demand, capacity expansion, and government incentives such as the PLI scheme and bulk drug parks, which are improving domestic manufacturing competitiveness. Globally, the API market is expected to grow from USD 232.13 billion in 2025 to USD 328.94 billion by 2030 at a ~7.2% CAGR, supported by rising chronic diseases, increasing biologics usage, and growing outsourcing by pharmaceutical companies. In addition, the API CDMO market is expected to grow at a faster pace of ~8.6% CAGR, driven by increasing outsourcing of manufacturing and development by global pharma companies. Overall, the industry is witnessing a structural shift toward high-value APIs such as high-potency APIs, biologics APIs, and complex molecules, which require strong R&D capabilities, regulatory approvals, and advanced manufacturing infrastructure.

The global formulation development outsourcing market is estimated at USD 28.20 billion in 2025 and is expected to grow to USD 38.02 billion by 2030, at a CAGR of 6.16%, driven by increasing drug development activity, rising complexity of formulations, and growing outsourcing by pharmaceutical and biotech companies to reduce costs and accelerate time-to-market. The industry is witnessing a shift toward complex formulations such as injectables, biologics, and specialty drug delivery systems, which require advanced formulation capabilities and regulatory expertise. Asia-Pacific is the fastest-growing region, supported by cost-competitive manufacturing, skilled workforce, and expanding pharmaceutical R&D capabilities, with countries like India emerging as key outsourcing hubs for formulation development and manufacturing services. Additionally, increasing demand for complex generics, biosimilars, and specialty therapies, along with rising clinical trials and regulatory requirements, is driving pharmaceutical companies to outsource formulation development to specialized CDMOs with advanced formulation and delivery capabilities.





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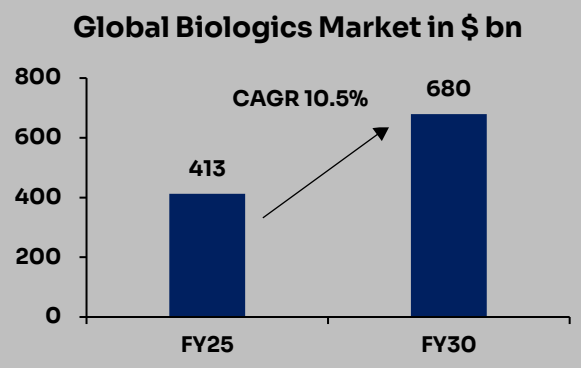
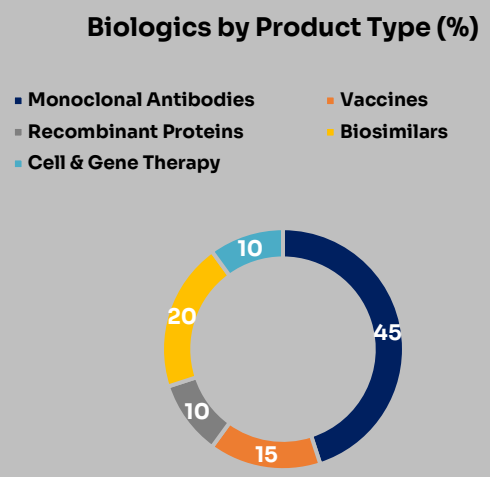
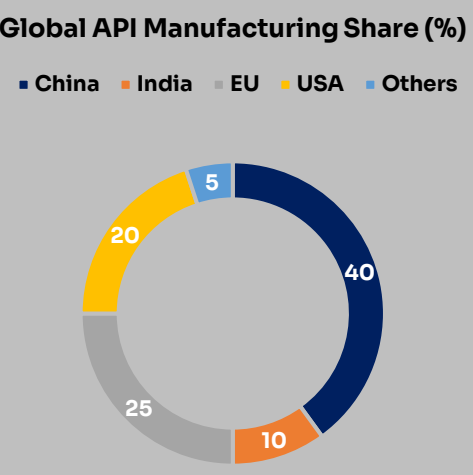


The global biologics market is estimated at USD 412.7 billion in 2025 and is projected to reach USD 679.6 billion by 2030, growing at a CAGR of ~10.5%, significantly faster than the traditional small-molecule drug market. Biologics now account for a rapidly increasing share of global pharmaceutical spending, driven by rising demand for targeted therapies in oncology, autoimmune diseases, diabetes, and rare diseases, where biologics offer higher efficacy and precision treatment. Within biologics, monoclonal antibodies, biosimilars, recombinant proteins, and peptide-based therapies are the fastest-growing segments, supported by a wave of patent expiries for blockbuster biologics such as Keytruda, Opdivo, and Eylea between 2025–2028, creating a ~USD 100+ billion biosimilar opportunity. Additionally, pharmaceutical companies are increasingly outsourcing biologics manufacturing due to the high complexity and capital requirements, driving strong growth in biologics CDMO and contract manufacturing. Asia, particularly India and South Korea, is emerging as a key manufacturing hub due to cost advantages and improving regulatory capabilities, positioning Indian companies with biologics and biosimilar capabilities to benefit from this structural shift in the global pharmaceutical industry.



India's biologics market is growing rapidly, supported by rising demand for biosimilars, vaccines, and recombinant therapies, along with increasing global outsourcing of biologics manufacturing. The Indian biologics market is estimated at ~USD 8–10 billion and is expected to grow at a ~15–18% CAGR, significantly faster than the overall pharma market, driven by patent expiries of blockbuster biologics, cost advantages (30–40% lower manufacturing cost vs developed markets), and strong capabilities in biosimilars and contract manufacturing. India has already established itself as a global supplier of vaccines and biosimilars and is increasingly becoming a manufacturing hub for monoclonal antibodies, recombinant proteins, and peptide-based therapies, supported by government initiatives, improving regulatory compliance (USFDA, EMA approved plants), and rising investments in biologics manufacturing infrastructure.

Over the last few years, global pharmaceutical companies have been actively diversifying their supply chains away from China due to geopolitical risks, regulatory concerns, supply chain disruptions, and rising manufacturing costs. China currently dominates global API manufacturing with ~35–40% share, while India holds ~8–10% share, which is expected to increase significantly over the next decade as global pharma companies adopt a "China + 1" sourcing strategy. India is a key beneficiary due to its cost advantage (30–40% lower manufacturing costs), large USFDA-approved manufacturing base, strong chemistry capabilities, and growing biologics manufacturing infrastructure. This shift is leading to increased outsourcing opportunities for Indian API and CDMO companies, particularly in complex APIs, high-potency APIs (HPAPI), peptides, biologics, and specialty formulations, where regulatory compliance and technical capabilities act as entry barriers.



Ventura Business Quality Score

Key Criteria	Score	Risk	Comments
Management & Leadership			
Management Quality	8	Low	Management has strong technical expertise and long-term vision, but execution has been uneven due to regulatory hurdles, commercialization delays, and an extended investment phase.
Promoters Holding Pledge	5	Medium	Promoters have pledged ~35–40% of their holding, which remains relatively high and creates an overhang, although recent deleveraging and improving balance sheet provide some comfort.
Board of Directors Profile	9	Low	The average experience of directors is >20 years with significant experience in their respective sectors and expert areas
Industry Consideration			
Industry Growth	8	Low	SML operates in high-growth segments like CDMO, biologics, and specialty generics, supported by strong structural demand from global outsourcing and complex drug manufacturing.
Regulatory Environment or Risk	4	High	The company operates in highly regulated US/EU markets, making regulatory compliance a key monitorable risk despite recent improvement in its compliance track record.
Entry Barriers / Competition	8	Low	SML operates in complex areas like oncology APIs, peptides, biologics, and CDMO, where high entry barriers limit competition versus commoditized generics APIs.
Business Prospects			
New Business / Client Potential	8	Low	With 25+ CDMO programs, GLP-1 peptide APIs, biologics, and specialty formulations, SML has strong growth potential, though commercialization and execution remain key monitorable.
Business Diversification	8	Low	The company has diversified from a pure oncology API player into APIs, formulations, biologics, and CDMO, reducing single-segment dependence, though APIs still contribute a significant share of revenues.
Market Share Potential	10	Low	SML operates in niche segments with limited competition, and its 270+ DMF pipeline supports long-term market share gains.
Margin Expansion Potential	8	Low	Margin expansion is likely as the revenue mix shifts to higher-margin formulations, biologics, and CDMO, supported by operating leverage and asset utilization improvement.
Earnings Growth	8	Low	Strong revenue growth outlook along with margin expansion ensures significant earnings growth in future.
Valuation and Risk			
Balance Sheet Strength	6	Medium	Balance sheet has improved post INR 500 Cr QIP and debt reduction, with Net Debt/EBITDA reducing significantly, though past capex-heavy expansion and working capital intensity keep leverage slightly elevated.
Debt Profile	6	Medium	Debt levels were elevated due to biologics and capex investments, but recent QIP-led deleveraging has reduced Net Debt/EBITDA significantly, improving the debt profile though still in a transition phase.
FCF Generation	7	Low	SML's FCF grows from INR (82) crore in FY25 to INR 293 crore by FY28E, indicating strong cash flow and improved financial flexibility.
Dividend Policy	7	Low	The company maintains a low payout ratio as it reinvests cash flows into R&D, biologics, and CDMO expansion, indicating a growth-focused capital allocation strategy rather than a dividend-focused approach.
Total Score **Ventura Score (%)**	**110** **73**	**Low**	**The overall risk profile of the company is good, and we consider it as a MEDIUM risk company for investments**

Source: Company Reports & Ventura Research

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Management Team

Key Person	Designation	Details
Mr. Omprakash Inani	Chairman	He has more than 36+ years of business experience. He monitors business and functional aspects of the Company along with the operations of all the plants. He is also a Council Member in "Academy of Medical Education, Dental College & V.L. College of Pharmacy", "Taranath Shikshana Samsthe, Raichur" and a trustee in "Akhil Bhartiya Maheshwari Education Trust, Pune". He is also Managing Committee Member of "Karnataka State Cotton Association".
Mr. Vishnukant Bhutada	Managing Director	He holds Bachelor's Degree in Pharmacy and has 36+ years of experience in the Pharmaceutical Industry. He is one of the founder member of Shilpa Medicare Limited and the main guiding force behind the progress of Shilpa Medicare Limited. His analytical vision and splendid knowledge of not only domestic but also international medicare market made this Company one of the biggest exporter of specialised medical ingredients and medicines. Meteoric rise of this Company and success is hugely attributed to him.
Mr. Sharath Reddy Kalakota	Whole Time Director	He holds a PG in Pharmacy from BITS, Pilani. He obtained his bachelor's degree from Raichur, Gulbarga University. He joined Shilpa Medicare Limited in 1991 and is having an enriched experience in API manufacturing, operations & execution of greenfield & brownfield projects.
Mr. Hetal Gandhi	Independent Director	He has over 39+ years of experience in the financial services industry that encompasses private equity investments, credit markets, investment banking and turnaround situations. He is a certified member of the Institute of Chartered Accountants of India. He has been on the Board of companies, both listed and private, actively contributing to their strategy, organisation, building and execution, and helped them scale up significantly
Dr. Anita Bandyopadhyay	Independent Director	She holds Doctorate degree in Applied Psychology from Kolkata University and Executive MBA from SP Jain Institute of Management & Research, Mumbai. She is an acclaimed HR consultant with extensive expertise in Leadership Development, Talent Management, Performance Management, HR Processes and Corporate Succession Planning. She has an amalgamation of strong conceptual knowledge with result-oriented application practice. She has serviced Pharmaceuticals, Glass Packaging, Education, Adhesives, Textile & Apparels Industries and has exposure to Manufacturing, Education, FMCG, Retail and B2B business sectors
Mr. Ashraf Loutfy Abdelhamid Allam	Additional Independent Director	He is aged 65 yrs, a graduate from Faculty of Pharmacy, University of Tanta and holds a Bachelor degree in Pharmaceutical Sciences. He has overall 30+ years of experience in the field of pharma / biotech / medical devices and consumer health industries. He has been on the board as leader & partner with experience in start-ups, driving top/ bottom-line growth, managing P&L. He has worked as CEO, Managing Director / Regional VP positions, reported directly to company boards and CEO's, built first-class teams, delivered profitable top line growth.

Source: Company Reports

Key Risks & Concerns

- **Regulatory Risks:** Exposure to USFDA scrutiny and regulatory delays could impact approvals and product launches.
- **Execution Risk in Biologics and CDMO:** Delays in scaling biologics and CDMO segments may affect profitability.
- **Competition in Biologics and GLP-1:** Increased competition may lead to price pressure and reduced margins in biologics and GLP-1.
- **Customer Concentration Risk:** High reliance on a few large clients exposes SML to potential client-related risks.
- **IP and Patent Risks**: Patent challenges in biosimilars and regulated markets could delay commercialization and affect margins.

FY25 Annual Report Analysis

We have analysed the FY25 Annual Report of SML, and our key observations on the business are as follows:

1. **Robust Financial Growth and Margin Expansion:** SML showed significant financial acceleration in FY25, with revenue growing 12% to INR 1286.41 Cr. EBITDA increased by 35% YoY to INR 340.21 Cr, and PAT surged by 158% to INR 78.29 Cr. This was driven by a focus on high-margin products and reduced finance costs from QIP proceeds, which helped reduce debt and improve profitability.

2. **Strategic Pivot to Specialty CDMO and Biologics:** The company's biologics division grew 115% to INR 75.71Cr, driven by strong market share gains for Adalimumab and growing traction in Biologics CDMO. The Formulations segment expanded by 37% to INR 473.77 Cr, with notable successes like the Nilotinib Capsules launch in Europe. The CDMO segment grew 47.5% YoY, further cementing its position as a key growth pillar.

3. **Balance Sheet Strengthening & De-leveraging**: SML raised INR 500 Cr through a Qualified Institutional Placement (QIP), which was used to prepay high-cost debt, improving the Net Debt to EBITDA ratio from 5.8x to 1.6x. This, along with improved Debt-Equity and Debt Service Coverage Ratios (DSCR), strengthened the company's capital structure and financial stability.

4. **R&D and Regulatory Advancements**: SML continued to build a strong intellectual property moat with 585 cumulative patents (22 filed in FY25). Significant progress was made in GLP-1s (Liraglutide and Semaglutide), biosimilars (Aflibercept), and NBE (sRbumin®). The company also secured key US FDA and EMA accreditations for the Dabaspet facility, unlocking further commercialization opportunities.

5. **Geographical Diversification and Licensing Strategy**: SML successfully diversified its revenue streams, with RoW market formulations revenue surging by 300% and EU revenue growing by 38%. Licensing income also rose to INR 189.86 Cr, contributing significantly to the formulations business and reducing dependence on any single market.

SML's quarterly and annual performance

Fig in INR Cr (unless specified)	FY23	FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	FY25	Q1FY26	Q2FY26	Q3FY26	FY26E	FY27E	FY28E
Revenue from operations	1,050.1	1,151.6	292.5	343.8	319.3	330.8	1,286.4	321.5	370.0	409.7	1,476.7	1,683.4	1,948.3
YoY Growth (%)	*(8.3)*	*9.7*	*12.4*	*9.8*	*11.3*	*13.4*	*11.7*	*9.9*	*7.6*	*28.3*	*14.8*	*14.0*	*15.7*
Raw Material Cost	416.0	394.2	92.9	122.0	91.0	104.5	410.4	79.6	105.5	133.3	425.3	481.5	553.3
RM Cost to Sales (%)	*39.6*	*34.2*	*31.8*	*35.5*	*28.5*	*31.6*	*31.9*	*24.8*	*28.5*	*32.5*	*28.8*	*28.6*	*28.4*
Employee Cost	286.4	281.4	72.1	76.2	73.5	70.9	292.7	81.8	83.1	83.5	329.3	373.7	430.6
Employee Cost to Sales (%)	*27.3*	*24.4*	*24.7*	*22.2*	*23.0*	*21.4*	*22.8*	*25.4*	*22.4*	*20.4*	*22.3*	*22.2*	*22.1*
Other Expenses	259.4	240.5	54.0	59.7	74.2	78.6	266.4	68.4	73.1	78.7	295.3	335.0	385.8
Other Expenses to Sales (%)	*24.7*	*20.9*	*18.4*	*17.4*	*23.2*	*23.8*	*20.7*	*21.3*	*19.8*	*19.2*	*20.0*	*19.9*	*19.8*
EBITDA	88.3	235.5	73.5	86.0	80.6	76.8	316.9	91.6	108.3	114.3	426.8	493.2	578.7
EBITDA Margin (%)	*8.4*	*20.5*	*25.1*	*25.0*	*25.3*	*23.2*	*24.6*	*28.5*	*29.3*	*27.9*	*28.9*	*29.3*	*29.7*
PAT	(27.1)	36.7	17.6	18.3	31.4	12.2	79.5	47.6	44.2	44.9	172.2	201.2	270.3
PAT Margin (%)	*(2.6)*	*3.2*	*6.0*	*5.3*	*9.8*	*3.7*	*6.2*	*14.8*	*11.9*	*11.0*	*11.7*	*12.0*	*13.9*
Net Profit	(32.5)	31.9	14.1	17.9	31.8	14.5	78.3	46.9	44.1	44.6	170.8	199.6	268.4
Net Margin (%)	*(3.1)*	*2.8*	*4.8*	*5.2*	*9.9*	*4.4*	*6.1*	*14.6*	*11.9*	*10.9*	*11.6*	*11.9*	*13.8*
Adjusted EPS	(1.7)	1.6	0.7	0.9	1.6	0.7	4.0	2.4	2.3	2.3	8.7	10.2	13.7
P/E (X)	*(234.3)*	*238.7*					*97.2*				*44.6*	*38.1*	*28.3*
Adjusted BVPS	91.2	92.5					121.3				129.1	138.3	150.7
P/BV (X)	*4.3*	*4.2*					*3.2*				*3.0*	*2.8*	*2.6*
Enterprise Value	8,384.3	8,512.7					8,166.7				8,207.5	8,084.9	7,878.1
EV/EBITDA (X)	*95.0*	*36.1*					*25.8*				*19.2*	*16.4*	*13.6*
Net Worth	1,783.3	1,808.7					2,372.2				2,525.9	2,705.5	2,947.1
Return on Equity (%)	*(1.8)*	*1.8*					*3.3*				*6.8*	*7.4*	*9.1*
Capital Employed	2,580.3	2,744.3					2,958.6				3,144.7	3,264.3	3,425.9
Return on Capital Employed (%)	*(0.2)*	*2.9*					*4.4*				*7.1*	*7.4*	*8.9*
Invested Capital	2,558.7	2,712.5					2,930.1				3,124.6	3,181.6	3,216.3
Return on Invested Capital (%)	*(0.3)*	*4.7*					*7.0*				*9.7*	*10.5*	*12.7*
Cash Flow from Operations	179.9	136.7					132.2				351.3	425.4	502.7
Cash Flow from Investing	(232.6)	(166.6)					(198.0)				(311.1)	(220.5)	(214.0)
Cash Flow from Financing	45.8	46.8					62.7				(48.5)	(142.4)	(161.8)
Net Cash Flow	(6.9)	16.9					(3.2)				(8.4)	62.5	126.9
Free Cash Flow	(45.5)	(35.8)					(82.5)				116.5	208.6	293.2
FCF to Revenue (%)	*(4.3)*	*(3.1)*					*(6.4)*				*7.9*	*12.4*	*15.1*
FCF to EBITDA (%)	*(51.6)*	*(15.2)*					*(26.0)*				*27.3*	*42.3*	*50.7*
FCF to Net Profit (%)	*140.2*	*(112.3)*					*(105.4)*				*68.2*	*104.5*	*109.3*
FCF to Net Worth (%)	*(2.6)*	*(2.0)*					*(3.5)*				*4.6*	*7.7*	*10.0*
Total Debt	797	936					586				619	559	479
Net Debt	775	904					558				599	476	269
Net Debt to Equity (X)	*0.4*	*0.5*					*0.2*				*0.2*	*0.2*	*0.1*
Net Debt to EBITDA (X)	*8.8*	*3.8*					*1.8*				*1.4*	*1.0*	*0.5*
Interest Coverage Ratio (X)	*(0.1)*	*1.4*					*2.7*				*4.7*	*5.3*	*7.4*
Fundamental scores													
Altman Z Score	0.5	0.7					0.9				1.0	1.0	1.1
Piotroski F-score	2.0	7.0					8.0				6.0	8.0	8.0
Beneish M-score	(2.7)	(2.3)					(1.9)				(2.4)	(2.4)	(2.4)

Source: ACE Equity, Company Reports & Ventura Research

SML's consolidated financials & projections

Fig in INR Cr (unless specified)	FY24	FY25	FY26E	FY27E	FY28E
Income Statement					
Revenue	1,151.6	1,286.4	1,476.7	1,683.4	1,948.3
YoY Growth (%)	*9.7*	*11.7*	*14.8*	*14.0*	*15.7*
Raw Material Cost	394.2	410.4	425.3	481.5	553.3
RM Cost to Sales (%)	*34.2*	*31.9*	*28.8*	*28.6*	*28.4*
Employee Cost	281.4	292.7	329.3	373.7	430.6
Employee Cost to Sales (%)	*24.4*	*22.8*	*22.3*	*22.2*	*22.1*
Other Expenses	240.5	266.4	295.3	335.0	385.8
Other Exp to Sales (%)	*20.9*	*20.7*	*20.0*	*19.9*	*19.8*
EBITDA	235.5	316.9	426.8	493.2	578.7
Margin (%)	*20.5*	*24.6*	*28.9*	*29.3*	*29.7*
YoY Growth (%)	*166.8*	*34.6*	*34.7*	*15.6*	*17.3*
Depreciation & Amortization	107.9	113.0	123.9	159.9	171.6
EBIT	127.6	203.9	302.8	333.3	407.1
Margin (%)	*11.1*	*15.9*	*20.5*	*19.8*	*20.9*
YoY Growth (%)	*(1,865.5)*	*59.8*	*48.5*	*10.1*	*22.1*
Other Income	17.2	23.3	8.5	8.6	9.2
Finance cost	91.8	75.5	63.9	62.4	55.0
Fin Charges Coverage (X)	1.4	2.7	4.7	5.3	7.4
Exceptional Item	6.1	(28.1)	(12.9)	0.0	0.0
PBT	59.1	123.6	234.6	279.5	361.3
Margin (%)	*5.1*	*9.6*	*15.9*	*16.6*	*18.5*
YoY Growth (%)	*(271.5)*	*109.1*	*89.8*	*19.1*	*29.3*
Tax Expense	22.4	44.1	62.4	78.3	90.9
Tax Rate (%)	*37.9*	*35.6*	*26.6*	*28.0*	*25.2*
PAT	36.7	79.5	172.2	201.2	270.3
Margin (%)	*3.2*	*6.2*	*11.7*	*12.0*	*13.9*
YoY Growth (%)	*(235.5)*	*116.5*	*116.5*	*16.8*	*34.3*
Min Int/Sh of Assoc	(4.9)	(1.3)	(1.5)	(1.7)	(1.9)
Net Profit	31.9	78.3	170.8	199.6	268.4
Margin (%)	*2.8*	*6.1*	*11.6*	*11.9*	*13.8*
YoY Growth (%)	*(198.1)*	*145.5*	*118.2*	*16.9*	*34.5*
Balance Sheet					
Share Capital	8.7	9.8	9.8	9.8	9.8
Total Reserves	1,791.3	2,353.9	2,517.5	2,697.1	2,938.6
Shareholders Fund	1,800.0	2,363.7	2,527.2	2,706.8	2,948.4
Long Term Borrowings	560.2	232.0	212.0	182.0	152.0
Deferred Tax Assets / Liabilities	(10.3)	(13.0)	(27.7)	(27.7)	(27.7)
Other Long Term Liabilities	17.1	15.3	59.1	67.4	78.0
Long Term Trade Payables	0.0	0.0	0.0	0.0	0.0
Long Term Provisions	22.4	25.5	28.7	32.6	37.6
Total Liabilities	2,389.4	2,623.5	2,799.3	2,961.1	3,188.2
Net Block	1,384.9	1,750.7	1,861.5	1,918.4	1,956.4
Capital Work in Progress	403.0	462.5	533.7	533.7	533.7
Intangible assets under developm	315.8	0.0	0.0	0.0	0.0
Non Current Investments	39.9	34.5	39.6	43.3	47.9
Long Term Loans & Advances	53.3	0.0	0.0	0.0	0.0
Other Non Current Assets	9.9	64.3	73.8	84.2	97.4
Net Current Assets	182.7	311.4	290.6	381.4	552.8
Total Assets	2,389.4	2,623.5	2,799.3	2,961.1	3,188.2

Fig in INR Cr (unless specified)	FY24	FY25	FY26E	FY27E	FY28E
Per share data & Yields					
Adjusted EPS (INR)	1.6	4.0	8.7	10.2	13.7
Adjusted Cash EPS (INR)	7.1	9.8	15.1	18.4	22.5
Adjusted BVPS (INR)	92.0	120.8	129.2	138.4	150.7
Adjusted CFO per share (INR)	7.0	6.8	18.0	21.8	25.7
CFO Yield (%)	1.8	1.7	4.6	5.6	6.6
Adjusted FCF per share (INR)	(1.8)	(4.2)	6.0	10.7	15.0
FCF Yield (%)	(0.5)	(1.1)	1.5	2.7	3.9
Solvency Ratio (X)					
Total Debt to Equity	0.5	0.2	0.2	0.2	0.2
Net Debt to Equity	0.5	0.2	0.2	0.2	0.1
Net Debt to EBITDA	3.8	1.8	1.4	1.0	0.5
Return Ratios (%)					
Return on Equity	1.8	3.3	6.8	7.4	9.1
Return on Capital Employed	2.9	4.4	7.1	7.4	8.9
Return on Invested Capital	4.7	7.0	9.7	10.5	12.7
Working Capital Ratios					
Payable Days (Nos)	55	27	45	45	45
Inventory Days (Nos)	109	99	111	100	89
Receivable Days (Nos)	124	125	121	111	101
Net Working Capital Days (Nos)	178	197	187	166	145
Net Working Capital to Sales (%)	48.9	53.9	51.3	45.5	39.8
Valuation (X)					
P/E	238.7	97.2	44.6	38.1	28.3
P/BV	4.2	3.2	3.0	2.8	2.6
EV/EBITDA	36.1	25.8	19.2	16.4	13.6
EV/Sales	7.4	6.3	5.6	4.8	4.0
Cash Flow Statement					
PBT	59.1	123.6	234.6	279.5	361.3
Adjustments	161.4	183.2	242.6	233.3	240.9
Change in Working Capital	(61.5)	(130.6)	(63.6)	(9.1)	(8.5)
Less: Tax Paid	(22.4)	(44.1)	(62.4)	(78.3)	(90.9)
Cash Flow from Operations	136.7	132.2	351.3	425.4	502.7
Net Capital Expenditure	(172.5)	(214.6)	(234.8)	(216.8)	(209.5)
Change in Investments	5.9	16.6	(76.3)	(3.7)	(4.5)
Cash Flow from Investing	(166.6)	(198.0)	(311.1)	(220.5)	(214.0)
Change in Borrowings	138.6	(350.9)	32.4	(60.0)	(80.0)
Less: Finance Cost	(91.8)	(75.5)	(63.9)	(62.4)	(55.0)
Proceeds from Equity	0.0	489.1	0.0	0.0	0.0
Buyback of Shares	0.0	0.0	0.0	0.0	0.0
Dividend Paid	0.0	0.0	(17.1)	(20.0)	(26.8)
Cash flow from Financing	46.8	62.7	(48.5)	(142.4)	(161.8)
Net Cash Flow	16.9	(3.2)	(8.4)	62.5	126.9
Forex Effect	(4.2)	0.0	0.0	0.0	0.0
Opening Balance of Cash	19.1	31.8	28.6	20.2	82.7
Closing Balance of Cash	31.8	28.6	20.2	82.7	209.6

Source: Company Reports & Ventura Research

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Rating Methodology

We rate stocks on the 2 years absolute return basis.

Rating	Criteria	Definition
BUY	>= 20%	Target price is equal to or more than 20% of CMP
HOLD	>= 0% to < 20%	Target price is more than CMP but less than 20% of CMP
SELL	<= 0% (negative return)	Target price is less than CMP
NOT RATED	No recommendation	No target

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